

RMH CAPITAL

Operating Atlas

2026 Edition

Board of Directors — Strategic Reference Document

Prepared by Office of the Chief Executive Officer

Fiscal Year 2026 | Confidential & Proprietary

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DOCUMENT VERSION

Version 1.0 — June 2026. This document supersedes all prior versions of the RMH Capital Operating Atlas. For the most current version, contact the Office of the General Counsel.

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EXECUTIVE SUMMARY

Overview

The Integrated Platform

How RMH Capital's five interconnected divisions create compounding competitive advantage across advisory, markets, lending, finance, and venture

Strategic Vision

RMH Capital is built on a single governing insight: that the most durable competitive advantage in financial services belongs to firms that serve clients across the full arc of their institutional and entrepreneurial journey — from early-stage venture to large-cap M&A advisory, from revolving credit facility to high-yield bond issuance, from seed financing to public market liquidity. This integrated platform thesis is not merely organizational convenience; it is a structural bet that the siloed, product-specific firm model that characterized the prior generation of banks is being disrupted by capital, technology, and client expectation convergence.

Our five divisions — Investment Banking, Markets, Corporate Banking, Corporate Finance, and RMHCombinator — are designed to share client relationships, market intelligence, proprietary data, and human capital in ways that single-division competitors cannot replicate. A founder who raises pre-seed capital through RMHCombinator becomes a corporate banking client when they reach growth stage, an M&A advisory client when they consider a strategic acquisition, and a capital markets client when they prepare for their IPO. Each touchpoint deepens our understanding of the client and reduces the cost of serving them, creating a self-reinforcing flywheel of relationship value.

The 2026 Operating Atlas codifies this thesis into operational doctrine. It establishes the governance frameworks, risk parameters, technology architecture, and financial targets that translate strategic vision into institutional execution. Every board member, division head, and senior officer should regard this document as the authoritative reference for how RMH Capital operates, competes, and grows.

\$87M

YEAR 1 NET
REVENUE TARGET

Across all five divisions

85

TARGET
HEADCOUNT —
YEAR 1

Growing to 220 by Year
3

5

INTEGRATED
DIVISIONS

One platform, unified
client view

The Integrated Platform Thesis

Modern institutional clients do not segment their needs by product silo. A technology company preparing for an IPO needs concurrent advice on M&A positioning, equity capital markets timing, corporate treasury setup, and employee equity plan structuring. A private equity sponsor evaluating a leveraged buyout needs financing commitment letters, hedging strategies, balance sheet analysis, and post-close operational finance support. These multi-dimensional needs can only be addressed coherently by a firm with genuine depth across all relevant disciplines — not by a network of loosely affiliated specialists.

RMH Capital's integration architecture is built around three structural connectors: a shared CRM that tracks client interactions across divisions, a unified risk framework that prevents conflicting exposures, and a revenue-sharing model that incentivizes cross-division collaboration rather than territorial competition. The integration is also cultural: we hire bankers who view themselves as client advisors first and product specialists second, and we evaluate performance on total client revenue — not division-level metrics in isolation.

The venture dimension of our platform, RMHCombinator, adds a category of competitive differentiation that no peer investment bank has systematically achieved: access to the earliest stages of company formation, when relationships are most exclusive and most durable. Our accelerator cohorts generate a pipeline of future banking clients who have experienced RMH Capital's judgment and

integrity before they needed our institutional services. This pre-institutional relationship advantage translates directly into mandate capture rates that are structurally above market.

PLATFORM SYNERGY PRINCIPLE

Every client interaction should be evaluated not only for its direct revenue contribution, but for the information, relationship, and referral value it generates for other divisions. A \$500K seed investment in a founder's company can unlock \$10–20M in cumulative advisory, banking, and capital markets fees over a decade. RMH Capital's unit economics are calculated on the lifetime client relationship, not the individual transaction.

2026 Financial Snapshot

The Year 1 financial plan targets \$87 million in net revenue across all five divisions, with the Investment Banking Division (IBD) contributing the largest share at \$45 million, followed by Markets at \$28 million, Corporate Banking at \$18 million, and RMHCombinator at \$8 million (net of fund management expenses). The Corporate Finance division operates as an internal function and does not contribute directly to external revenue, but its analytical and capital allocation rigor enables the revenue-generating divisions to operate with greater discipline and efficiency.

The three-year trajectory targets \$237 million in Year 3 net revenue, representing a compound annual growth rate of approximately 65% — ambitious but achievable given the leverage inherent in adding senior bankers to an established platform. Each Managing Director-level hire in IBD carries a target revenue multiple of 3–5× compensation within 24 months of joining, based on industry benchmarks and our internal pipeline data. The Markets division targets a 45% revenue increase from Year 1 to Year 2 as electronic trading infrastructure reaches full capacity and institutional client relationships mature.

Division	Year 1	Year 2	Year 3	3-Year CAGR
Investment Banking	\$45M	\$72M	\$108M	55%
Markets	\$28M	\$44M	\$65M	52%
Corporate Banking	\$18M	\$32M	\$52M	70%
RMHCombinator	\$8M	\$15M	\$28M	87%
Total Net Revenue	\$87M	\$149M	\$237M	65%

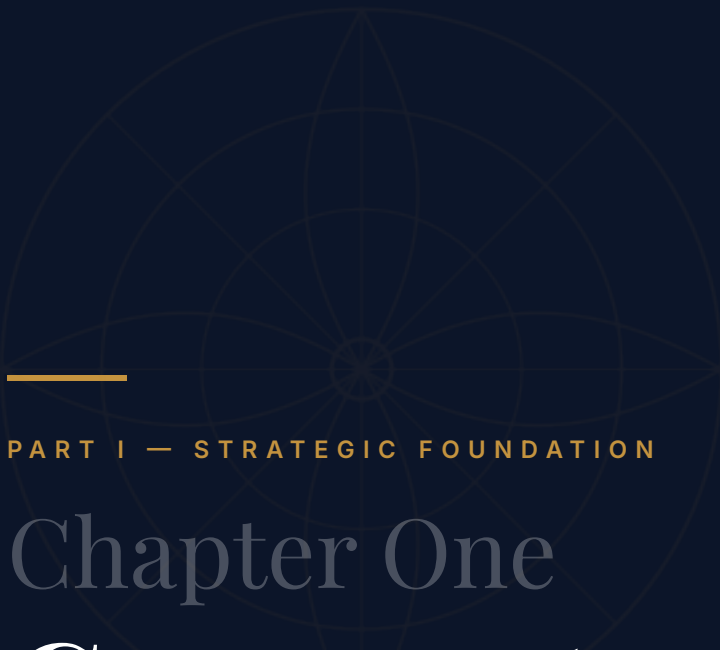
Table ES-1: Three-Year Revenue Projection by Division. All figures represent net revenue after direct costs and before overhead allocation. Growth rates reflect management plan assumptions.

Strategic Priorities — 2026

Four strategic priorities govern capital allocation, hiring, and executive attention in 2026. First, deepening the technology and healthcare coverage groups in IBD, where sector consolidation M&A activity is highest and where RMH Capital's founder-centric culture provides a distinctive pitch to founder-led targets. Second, scaling the Markets division's electronic trading infrastructure to reduce execution costs and expand the client base to institutional investors below the bulge-bracket threshold who are underserved by large banks. Third, launching the first RMHCombinator cohort with 8–12 companies and establishing the accelerator brand among Y Combinator-caliber founders in the technology sector. Fourth, completing the Tier 1 compliance infrastructure for the Volcker Rule and Basel III Endgame requirements that take effect in 2026–2027.

Human capital remains the single most important driver of financial performance. The planned addition of 60 net new employees from 85 to 145 in Year 2 includes 8 Managing Directors in IBD, 6 senior traders in Markets, 4 senior relationship managers in Corporate Banking, and 12 additional positions in technology, compliance, and operations. Each Managing Director hire is subject to a full

background check, FINRA licensing verification, and a minimum 12-month non-compete review in states where such agreements are enforceable.



PART I — STRATEGIC FOUNDATION

Chapter One

Corporate Governance

Board structure, executive leadership, committee architecture, and division accountability framework

1.1 Board of Directors

RMH Capital's Board of Directors serves as the apex governance body, responsible for establishing strategic direction, approving material capital allocation decisions, and overseeing the risk and compliance framework. The Board is composed of seven directors: the CEO (executive chair), two additional executive directors drawn from the CFO and General Counsel offices, and four independent directors with expertise in financial services regulation, technology, institutional investment, and corporate law. The independent majority structure reflects best practices for registered broker-dealers and ensures that the Board can exercise objective oversight of management.

Board meetings are held quarterly, with a minimum of one in-person session per year at which strategic planning updates, annual financial results, and long-range capital allocation decisions are reviewed. Between regular sessions, the Board operates through four standing committees: the Audit and Risk Committee, the Compensation Committee, the Regulatory and Compliance Committee, and the Nominating and Governance Committee. Each committee has a written charter approved by the full Board and reports directly to the Board chair at each quarterly session.

The Board's Regulatory and Compliance Committee has specific oversight responsibility for FINRA membership obligations, SEC registration requirements, and the Volcker Rule compliance program. This committee receives monthly reports from the Chief Compliance Officer and has authority to commission independent compliance audits at any time. The committee chair is required to be an independent director with prior experience at a FINRA member firm or in federal financial regulation.

1.2 Executive Leadership Team

Day-to-day management of RMH Capital is vested in the Executive Leadership Team (ELT), comprising the Chief Executive Officer, Chief Financial Officer, Chief Risk Officer, Chief Compliance Officer, General Counsel, Chief Technology Officer, and the five Division Heads. The ELT meets weekly for operational coordination and monthly for strategic planning, with formal minutes maintained by the General Counsel's office. Decisions requiring ELT consensus include hiring at the Managing Director level and above, new product launches, material changes to risk limits, and any expenditure exceeding \$5 million.

Each Division Head carries P&L accountability for their division and reports to the CEO with a dotted-line reporting relationship to the CFO for financial controls and to the CRO for risk management. This matrix reporting structure ensures that division leaders have the operational autonomy necessary to compete effectively in fast-moving markets while remaining subject to firm-wide risk and financial controls. Annual performance reviews assess each Division Head on three equally weighted dimensions: financial performance against plan, client relationship net promoter score, and compliance record.

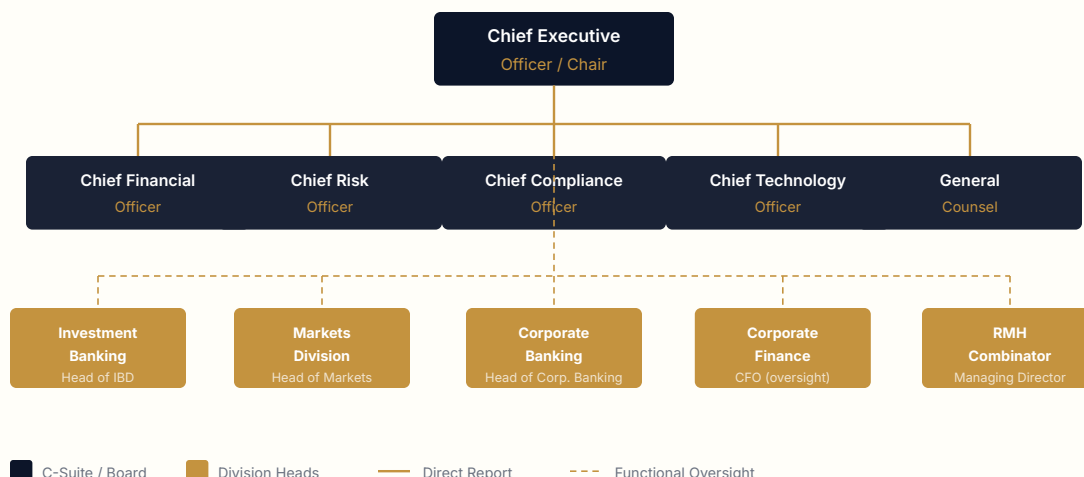


Figure 1-1: RMH Capital — Executive Organizational Chart (2026). Dashed lines indicate functional reporting relationships; solid lines indicate direct reporting.

1.3 Board Committees

The Audit and Risk Committee meets quarterly and is responsible for oversight of financial reporting integrity, internal audit function, external auditor independence, and the enterprise risk management framework. The committee reviews quarterly and annual financial statements prepared under GAAP before they are published or filed with regulatory authorities. It also reviews the internal audit plan annually and receives direct reports from the Chief Audit Executive without management present, ensuring that material control deficiencies can be surfaced to the Board without interference.

The Compensation Committee establishes the compensation philosophy, approves total compensation for C-suite executives, and reviews the firm-wide incentive compensation structure for compliance with FINRA Rule 3120 and the Dodd-Frank Act's risk-based compensation requirements. Incentive compensation

arrangements must be reviewed annually to ensure they do not encourage excessive risk-taking relative to the firm's risk appetite. The committee employs an independent compensation consultant to benchmark executive pay against a peer group of comparable broker-dealers and investment banks.

The Nominating and Governance Committee manages board succession planning, director independence evaluations, and the annual board self-assessment process. It also oversees the firm's ESG (Environmental, Social, and Governance) disclosure framework, which is increasingly material to institutional investor relationships and relevant to the firm's UNPRI commitments through the RMHCombinator fund structure.

1.4 Division P&L Accountability Framework

Each revenue-generating division operates under a fully-loaded P&L model that allocates direct costs (compensation, technology, and direct operating expenses) as well as overhead costs (shared services, compliance infrastructure, and corporate functions). This model ensures that division-level profitability metrics accurately reflect the full cost of operating each business, and prevents cross-subsidization that would obscure true economic performance. The Corporate Finance division — which provides internal services to the other divisions — operates on a cost-recovery model rather than a P&L basis.

Annual budget cycles begin in October with a bottoms-up forecast submission from each division, which is then stress-tested by the CFO's office against three economic scenarios: base case, downside (markets down 20%), and severe downside (markets down 40%). The Board approves the consolidated budget in December. Monthly reforecasting is required whenever actuals deviate from plan by more than 10% on a cumulative basis.

Committee	Chair	Meeting Frequency	Key Responsibilities
Audit & Risk	Independent Director	Quarterly + as needed	Financial reporting, internal audit, ERM oversight
Compensation	Independent Director	Semi-annually	Exec comp, incentive structures, Dodd-Frank compliance
Regulatory & Compliance	Independent Director	Monthly (written report)	FINRA, SEC, Volcker, Basel III oversight
Nominating & Governance	Independent Director	Annually + as needed	Board succession, ESG, director independence
Investment Committee (RMHCombinator)	Managing Director, RMHC	Bi-weekly	Accelerator admits, venture fund deployment, exits

Table 1-1: Board and Management Committee Structure. The Investment Committee reports to the Board through the CEO rather than as a standalone board committee.



PART II — LINES OF BUSINESS

Chapter Two

Investment Banking

M&A advisory, equity and debt capital markets, leveraged finance, and sector coverage — the advisory engine of RMH Capital

2.1 Division Overview & Mandate

The Investment Banking Division (IBD) is the advisory and capital-raising engine of RMH Capital. Its mandate is to provide comprehensive financial advisory and capital markets services to corporate, sponsor, and institutional clients across the full spectrum of strategic and financial transactions: mergers and acquisitions, divestitures, restructurings, initial public offerings, follow-on equity offerings, investment-grade and high-yield debt placements, and leveraged buyout financings. IBD is organized along two parallel axes — industry coverage groups that maintain deep sector expertise and long-term client relationships, and product specialist groups that apply transaction-specific technical capabilities across all coverage verticals.

The division's target client profile is companies with enterprise values between \$100 million and \$10 billion — the middle market and upper middle market segment where RMH Capital's integrated platform and sector depth can command premium fees without competing head-to-head with the largest bulge-bracket banks for mega-cap mandates. This segment is characterized by higher fee rates (typically 150–250 basis points of transaction value versus 50–100 basis points for transactions above \$10 billion), deeper advisory relationships, and more frequent return engagements, since middle-market companies often execute 3–5 major transactions across their growth lifecycle.

IBD's revenue model is overwhelmingly success-fee based, with retainer fees and advisory fees paid monthly during long-duration assignments. This aligns IBD's financial incentives directly with client outcomes and reflects the high value-at-risk nature of investment banking advisory: a single transaction closed or lost can move IBD's quarterly revenue by millions of dollars. Managing this revenue volatility requires careful pipeline management, a diversified mix of transaction types, and the cross-divisional revenue stream from Markets and Corporate

Banking that provides more stable, recurring income.



2.2 Industry Coverage Groups

RMH Capital launches with six industry coverage groups, each staffed by a coverage team of 3–6 bankers ranging from Analysts to Managing Directors. Coverage groups are responsible for maintaining institutional knowledge of their sector, tracking regulatory developments affecting the industry, originating new client relationships, and managing existing client relationships across all product types. The coverage MD serves as the primary client contact point and is responsible for coordinating with product specialists when specific transaction types are active.

Technology & Digital Infrastructure

The Technology coverage group targets software, fintech, semiconductors, cloud infrastructure, cybersecurity, and artificial intelligence companies. This is RMH Capital's priority coverage vertical, given the alignment with the RMHCombinator portfolio, which generates a natural pipeline of early-stage technology companies that will need investment banking services as they scale. The technology M&A market remains one of the most active globally, with strategic consolidation activity driven by AI integration, data infrastructure, and enterprise software platform expansion continuing at elevated levels through 2026.

Healthcare & Life Sciences

The Healthcare coverage group focuses on pharmaceutical, biotechnology, medical devices, healthcare services, and digital health companies. Healthcare M&A volume has grown substantially as large pharmaceutical companies use strategic acquisitions to replenish pipelines in the face of patent cliffs, creating a robust market for sell-side advisory mandates. The regulatory environment for healthcare transactions requires specialized expertise in FDA approval timelines, Medicare and Medicaid reimbursement considerations, and the competitive dynamics of specialty pharmaceutical markets.

Consumer & Retail

The Consumer coverage group covers food and beverage, consumer packaged goods, specialty retail, direct-to-consumer brands, and consumer technology. This sector has seen significant private equity-driven consolidation as digital channels reduce barriers to brand building while simultaneously increasing the capital requirements for distribution at scale. Consumer companies are frequent users of leveraged finance products for sponsor-backed buyouts and recapitalizations, creating strong synergies between the Consumer coverage group and IBD's Leveraged Finance product group.

Industrials & Business Services

The Industrials group covers aerospace and defense, industrial technology, logistics, environmental services, and business services. This sector has benefited from sustained infrastructure investment, domestic manufacturing reshoring, and defense budget increases that have accelerated M&A activity among defense primes and their supplier ecosystems. Business services companies — including staffing, outsourcing, and professional services firms — are among the most frequent issuers in the leveraged loan market, given their asset-light business models and predictable cash flow profiles.

Financial Services

The Financial Services group covers banks, insurance companies, asset managers, payment processors, and specialty finance companies. This is a uniquely positioned coverage group for RMH Capital, as our experience navigating banking regulation — Basel III, Volcker Rule, Reg W — provides a credible point of view on the regulatory dimension of financial services M&A that generalist advisory firms cannot match. The sector's ongoing consolidation, driven by scale economics in digital banking and compliance infrastructure investment, is expected to generate sustained M&A advisory opportunity.

Energy & Natural Resources

The Energy group covers upstream and midstream oil and gas, power generation, renewable energy, and utilities. The energy transition continues to drive one of the most complex restructuring and capital allocation challenges in corporate history, as hydrocarbon-focused companies rebalance their portfolios toward lower-carbon assets while maintaining cash generation to fund the transition. RMH Capital brings a differentiated perspective through its combined advisory (IBD) and corporate banking (lending) capabilities, allowing it to advise on the full capital structure optimization that energy companies require.

2.3 Product Groups

Mergers & Acquisitions (M&A)

The M&A group provides both buy-side and sell-side advisory services for strategic combinations, divestitures, spin-offs, carve-outs, and going-private transactions. Sell-side mandates typically involve preparation of a Confidential Information Memorandum (CIM), management of a controlled auction process, negotiation of transaction terms, and coordination of due diligence. Buy-side mandates involve target identification, valuation analysis, deal structuring, regulatory strategy, and negotiation support. Both mandate types require close coordination with the relevant coverage group and with Legal and Compliance for

regulatory clearance planning.

M&A deal economics at RMH Capital follow the Lehman Scale with modifications for transaction complexity: 5% on the first \$1 million of transaction value, scaling down to 1% on the tranche above \$100 million. Retainer fees paid monthly during the advisory period are credited against the success fee at closing. For transactions involving public companies, RMH Capital provides a fairness opinion — a formal written opinion as to the fairness of the consideration from a financial point of view — which is a critical deliverable for target company boards exercising their fiduciary duties under Delaware corporate law.

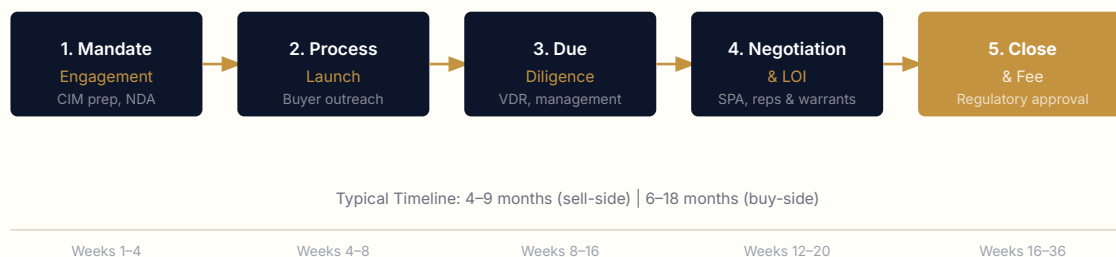


Figure 2-1: M&A Transaction Process Flow (Sell-Side). Timeline ranges reflect typical duration for middle-market transactions (\$100M–\$2B enterprise value).

Equity Capital Markets (ECM)

The ECM group manages equity and equity-linked financings, including initial public offerings (IPOs), follow-on offerings, convertible bond issuances, and block trades. RMH Capital acts as bookrunner, lead underwriter, or co-manager on these transactions, working alongside the company's management team to prepare SEC registration statements (Form S-1 for IPOs, Form S-3 for shelf registrations), conduct investor roadshows, and price and allocate securities to institutional investors. The SEC review process for registration statements typically takes 3–6 weeks for a standard filing and involves detailed disclosure of risk factors, financial history, business description, management discussion and analysis, and use of proceeds.

IPO fee economics typically range from 5–7% of gross proceeds, split among the underwriting syndicate. The lead bookrunner earns approximately 60% of the underwriting discount, while co-managers split the remainder in proportions negotiated at mandate acceptance. For follow-on offerings and secondary transactions, fees compress to 3–5%, reflecting the lower execution risk and reduced preparation burden compared to an inaugural IPO. Rule 144A placements to qualified institutional buyers (QIBs) allow expedited execution with a lighter documentation burden, making them attractive for seasoned issuers who value execution speed over the marketing benefits of a registered offering.

Debt Capital Markets (DCM)

The DCM group structures and places investment-grade and below-investment-grade (high-yield) bonds, as well as term loans intended for institutional distribution. Investment-grade bond placements are calibrated against the prevailing Treasury yield curve with a credit spread that reflects the issuer's rating, sector, and covenant package. High-yield bonds are structured with a fixed coupon, typically 5–9% in the current environment, a call schedule after 3–4 years at par plus a declining call premium, and incurrence-based covenants that restrict additional indebtedness and asset sales. For leveraged issuers, debt capacity is typically sized at 4–6× EBITDA for floating-rate term loans and 5–7× for high-yield bonds, subject to market conditions.

RMH Capital's DCM group coordinates closely with Corporate Banking, which can provide bridge financing or revolving credit commitments to support debt issuances, and with the Markets division, which provides secondary market making and investor relationship management. This coordination is particularly important for high-yield issuances where the all-in yield is sensitive to investor perception of secondary liquidity: the Markets desk's willingness to make a secondary market in the bonds directly supports the pricing achieved in the primary offering.

Leveraged Finance

The Leveraged Finance group specializes in debt structuring for leveraged

buyouts, recapitalizations, and acquisition financing for companies with below-investment-grade credit profiles — the core financing activity of the private equity industry. Leveraged finance transactions involve designing a capital structure that maximizes financial flexibility for the sponsor while meeting lender requirements for debt service coverage and covenant headroom. The typical LBO capital structure includes a senior secured term loan (Term Loan B, or "TLB"), a senior secured revolving credit facility, and an optional second-lien tranche or unsecured high-yield bond, with sponsor equity representing 30–50% of total capitalization.

Pricing for leveraged loans is expressed as a spread over SOFR (the Secured Overnight Financing Rate, which replaced LIBOR as the standard floating rate benchmark following the LIBOR transition completed in June 2023). Investment-grade revolving credit facilities price at SOFR plus 100–200 basis points; non-investment-grade term loans price at SOFR plus 350–600 basis points, depending on leverage level and sector. The shift from LIBOR to SOFR required significant documentation remediation across the industry, and RMH Capital's Legal and Documentation team maintains standardized SOFR-based loan templates for all new originations.

2.4 Ethics Walls & Information Barriers

Information barriers — commonly known as "Chinese walls" or ethics walls — are physical, electronic, and procedural separations that prevent material non-public information (MNPI) obtained by IBD from flowing to other divisions, particularly Markets. This is not merely good practice; it is a legal requirement under Section 10(b) of the Securities Exchange Act of 1934 and SEC Rule 10b-5, which prohibit trading on MNPI. The failure to maintain effective information barriers is one of the most serious compliance risks facing an integrated investment bank, and enforcement actions in this area have resulted in hundreds of millions of dollars in fines against major institutions.

RMH Capital's information barrier program includes physical separation of IBD and

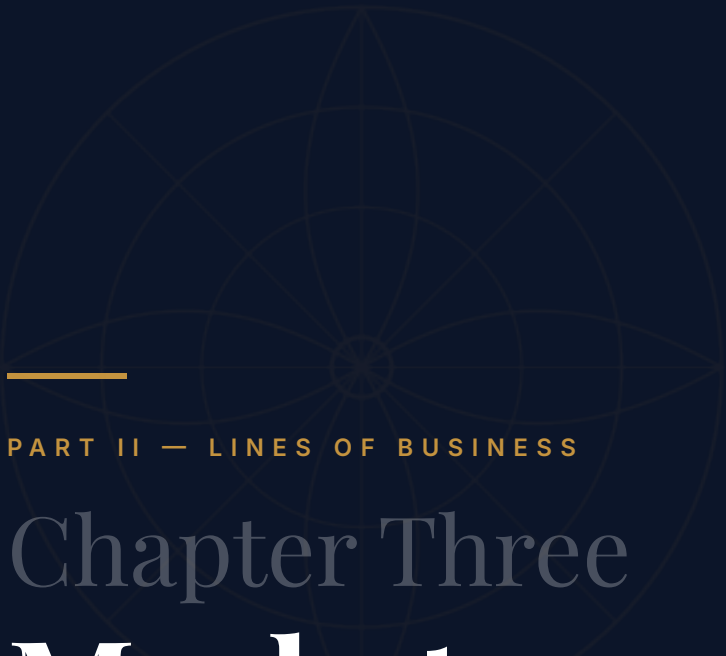
Markets workspaces, separate IT systems and email domains for restricted personnel, a "wall-crossing" procedure that requires written approval from Compliance before MNPI can be shared with personnel on the other side of a barrier, and a watch list and restricted list maintained by Compliance that restricts trading in securities of companies with which IBD has an active engagement. All IBD personnel receive annual training on information barrier requirements, and Compliance performs quarterly reviews of trading activity around known IBD mandates to detect potential leakage.

The Research division operates on a separate information barrier from both IBD and Markets, in compliance with SEC Regulation AC (Analyst Certification). Research analysts are prohibited from participating in investment banking pitches, road shows, or client entertainment tied to investment banking transactions without specific Compliance approval. Analyst compensation cannot be tied, directly or indirectly, to specific investment banking transactions — a requirement reinforced by FINRA Rule 2241 for equity research and FINRA Rule 2242 for debt research. These structural separations preserve the credibility of research as an independent analytical product rather than a marketing tool for banking mandates.

2.5 Key Performance Indicators

KPI	Year 1 Target	Year 2 Target	Industry Benchmark
M&A Advisory Revenue	\$22M	\$36M	—
ECM Underwriting Revenue	\$12M	\$20M	—
DCM/Leveraged Finance Revenue	\$11M	\$16M	—
Mandates Closed (M&A)	12–18	20–28	—
Avg. Transaction Value (M&A)	\$350M	\$450M	\$200–500M (mid-market)
Win Rate (pitched vs. awarded)	25%	30%	20–35% (middle market)
MD Revenue Multiple (avg.)	3.0×	3.8×	3–5× comp
Revenue per Banker	\$1.5M	\$2.1M	\$1.5–2.5M (mid-market)

Table 2-1: IBD Key Performance Indicators. Industry benchmark figures reflect publicly available data from mid-market investment banking league tables and compensation surveys.



PART II — LINES OF BUSINESS

Chapter Three

Markets Division

*Sales & Trading — market-making, institutional client
execution, and the structured products desk*

3.1 Division Overview

The Markets Division encompasses Sales, Trading, and Research across fixed income, equities, foreign exchange, and commodities. Its core function is to provide institutional clients with market access, execution services, and market intelligence — acting as a liquidity intermediary between buyers and sellers of financial instruments. Unlike the fee-based revenue model of IBD, Markets generates revenue primarily through the bid-ask spread on trades it intermediates as principal, through commissions on agency trades, and through net interest income on securities held in inventory. This revenue model is volume- and volatility-sensitive, creating a natural economic hedge within the firm's diversified revenue base: when market volatility is high, IBD mandates often pause while Markets revenue accelerates, and vice versa.

The Markets Division's client base consists of institutional investors — hedge funds, mutual funds, pension funds, insurance companies, endowments, and sovereign wealth funds — who rely on RMH Capital for price discovery, liquidity in securities that trade infrequently, structured product design, and market research. Differentiating factor for mid-tier broker-dealers competing with bulge-bracket firms is the quality of the client relationship and the speed and creativity of execution: institutional investors route order flow to dealers who provide the best overall value, which includes not just the best price on any given trade but the quality of ideas generated by the sales and research function and the reliability of the dealer in difficult market conditions.

3.2 Desk Structure by Asset Class

Fixed Income — Rates & Credit

The Fixed Income desk trades U.S. Treasury securities, agency mortgage-backed securities (MBS), corporate bonds (investment-grade and high-yield), municipal bonds, and asset-backed securities (ABS). The rates desk focuses on the most liquid segment — Treasuries and agencies — where margins are thin but volume is high and the desk serves an important liquidity provision function for the firm's institutional clients. The credit desk focuses on corporate bonds, where credit spread differentiation requires deeper issuer-level analysis and where bid-ask spreads are wider, supporting higher per-trade revenue. The credit desk is closely aligned with IBD's DCM group: bonds originated by DCM are often initially purchased by Markets inventory and then distributed to institutional investors over days or weeks through the sales force.

Equities

The Equities desk provides institutional equity execution services, block trading, and prime brokerage adjacent services. Equity trading at RMH Capital is organized around two execution modalities: high-touch sales trading, where a dedicated salesperson manages the execution of large block orders for a specific institutional account, and electronic trading, where the firm's algorithmic execution infrastructure routes smaller orders to lit and dark pool venues to minimize market impact. The high-touch and electronic channels serve different segments of the institutional client base: large buy-side funds with billion-dollar positions in individual stocks require the relationship and judgment of a high-touch sales trader; smaller funds and high-frequency interaction strategies are better served by electronic algorithms.

Foreign Exchange (FX)

The FX desk provides spot, forward, option, and swap execution in major and emerging-market currency pairs for institutional clients who need to hedge currency exposure arising from international investment portfolios or cross-border transactions. The FX business is complementary to IBD's M&A advisory practice, as cross-border acquisitions require significant FX risk management during the

period between announcement and closing. The FX desk provides hedging strategies — including forward contracts, option structures, and cross-currency swaps — that allow clients to lock in currency exchange economics and reduce the uncertainty of transaction-denominated costs.

Structured Products

The Structured Products desk designs and distributes bespoke financial instruments that combine elements of fixed income, equities, and derivatives to meet specific client risk/return objectives. Common products include collateralized loan obligations (CLOs) — a key tool for funding the leveraged loan market — structured notes with equity-linked payoff profiles, and credit default swap (CDS) structures for portfolio hedging. This is the highest-margin segment of the Markets Division but also the most complex from a risk management and regulatory perspective, as structured products can accumulate significant mark-to-market exposure in adverse market conditions.

3.3 Sales, Trading, and Research

The Sales function is the institutional client-facing role within Markets. Sales professionals maintain relationships with specific accounts — typically a portfolio of 20–50 institutional clients — and are responsible for understanding each client's investment mandate, communicating trade ideas generated by Research, and routing the client's order flow to the relevant Trading desk. Sales is evaluated primarily on the "wallet share" it captures from each client account: institutional investors distribute their trading volume among multiple broker-dealers, and the sales force's job is to maximize RMH Capital's share of each client's total trading activity.

The Trading function takes risk in financial instruments as principal — buying and selling securities using the firm's own capital — in order to facilitate client transactions and maintain an orderly market in the securities the firm covers.

Traders are evaluated on their risk-adjusted return on the capital allocated to their book, measured through daily P&L reporting. Every trading desk has formal risk limits approved by the CRO: VaR limits (Value at Risk, the maximum expected loss at a 99% confidence level over one trading day), concentration limits by issuer and sector, and notional position limits that cap the size of individual positions relative to the desk's daily volume capacity. Limit breaches require immediate notification to the CRO and, if material, to the Audit and Risk Committee.

Research provides independent fundamental analysis of the companies and markets relevant to RMH Capital's institutional client base. Equity research analysts cover specific sectors and publish buy, hold, and sell recommendations with supporting valuation analysis. Fixed income research analysts evaluate the creditworthiness of bond issuers and the relative value of different segments of the yield curve. Research is the primary tool for generating trade ideas that differentiate the sales force in the competition for institutional wallet share, since institutional investors reward dealers who consistently provide analysis that helps them generate alpha — returns above their benchmark index.

3.4 Market-Making and Volcker Rule Compliance

Market-making — the activity of standing ready to buy or sell a security at quoted bid and ask prices — is the commercial function that underpins the Markets Division's revenues and is explicitly permitted under Section 13(d) of the Volcker Rule, which prohibits most forms of proprietary trading. The Volcker Rule distinction between permitted market-making and prohibited proprietary trading turns on whether positions are held to facilitate client transactions or to profit from expected price movements independent of client demand. RMH Capital's Volcker compliance program is designed around a rigorous set of quantitative metrics that provide documented evidence of the market-making intent behind every trading position.

The 2025 amendments to the Volcker Rule established a three-tier compliance framework that calibrated documentation and reporting obligations to the scale of each firm's trading activity. RMH Capital is classified as a Tier 3 firm (total trading assets below \$10 billion), which qualifies it for a streamlined compliance regime with reduced CEO attestation and reporting requirements compared to Tier 1 and Tier 2 firms. However, the substantive prohibition on proprietary trading applies equally to all tiers, and RMH Capital's trading supervision program includes daily review of desk P&L decomposition, position aging reports, and hedging attribution analysis to ensure that market-making activities remain within the scope of permitted activities.

VOLCKER RULE — SEVEN QUANTITATIVE METRICS

Under 12 CFR Part 248, market-making desks must track seven metrics: (1) risk and position limits; (2) risk factor sensitivities; (3) value-at-risk and stress VaR; (4) comprehensive P&L attribution; (5) inventory turnover; (6) customer-facing trade ratio; and (7) payment of fees, commissions, or spreads. RMH Capital's compliance system generates automated daily reports on all seven metrics for each trading desk, with exception alerts routed to Compliance and the CRO within 30 minutes of market close.

3.5 Risk Management Framework

Market risk in the Markets Division is managed through a combination of quantitative risk metrics, structural position limits, and daily risk review by the CRO's office. The primary quantitative tool is Value at Risk (VaR), calculated using a 10-day holding period and 99% confidence level, consistent with Basel III market risk requirements. However, following the Basel III Endgame's adoption of Expected Shortfall (ES) as the primary market risk metric — replacing VaR under the Fundamental Review of the Trading Book (FRTB) — RMH Capital is transitioning its primary risk measurement to ES, which captures tail risk more accurately by averaging losses beyond the VaR threshold rather than simply measuring the VaR

boundary.

Counterparty credit risk — the risk that a trading counterparty fails to perform on a trade — is managed through the use of ISDA Master Agreements with standard Credit Support Annexes (CSAs) that require counterparties to post collateral when mark-to-market exposures exceed defined thresholds. The Credit desk within the CRO's office maintains credit limits for each counterparty, based on the counterparty's credit rating, financial strength, and the nature of the exposure. For derivatives trades, bilateral margining under EMIR and Dodd-Frank Title VII margin rules provides an additional layer of counterparty risk mitigation through mandatory variation margin settlement.

\$28M

YEAR 1 REVENUE
TARGET

5

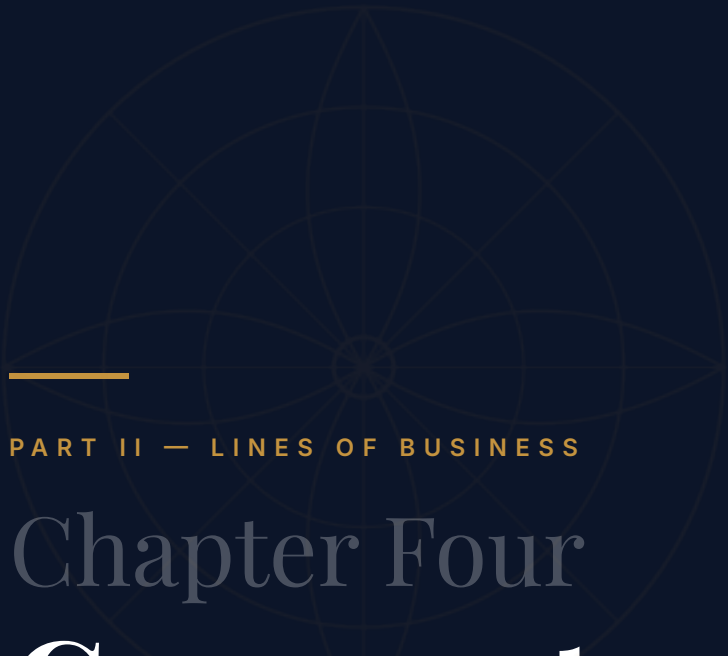
ASSET CLASS DESKS

Rates, Credit, Equities,
FX, Structured

<2%

MAX DAILY VAR /
CAPITAL

Firm-wide risk appetite
parameter



PART II — LINES OF BUSINESS

Chapter Four

Corporate Banking

*Balance sheet lending, relationship credit facilities, and
the bridge between advisory and capital markets*

4.1 Division Overview

Corporate Banking provides credit products and relationship banking services to RMH Capital's corporate client base, deploying the firm's own balance sheet capital to fund revolving credit facilities, term loans, acquisition bridge loans, and letters of credit. Unlike IBD, which earns fees without taking on credit risk, Corporate Banking takes risk on its book of loans and is compensated through net interest income (the spread between the loan's all-in yield and RMH Capital's cost of funds), origination fees, and ancillary fee income from commitment fees, letter of credit fees, and amendment fees. Corporate Banking's credit book is both a standalone revenue-generating business and a strategic tool for cementing client relationships that generate IBD advisory mandates and Markets transaction flow.

The relationship economics of corporate banking are well-documented: companies that have a credit relationship with a bank are significantly more likely to use that bank's advisory services for strategic transactions. This "relationship return" makes the true economic return on corporate banking capital substantially higher than the direct NII yield on loans, because it includes the probability-weighted value of future investment banking mandates. RMH Capital's corporate banking portfolio is therefore managed not only against a standalone return hurdle but against a total relationship revenue model that captures cross-divisional contributions.

4.2 Lending Products

Revolving Credit Facilities

A revolving credit facility (revolver) is a committed line of credit that the borrower

can draw upon, repay, and re-draw at will, up to a maximum commitment amount and through a defined maturity date (typically 3–5 years). Revolvers serve as the primary liquidity backstop for corporate borrowers, providing certainty of funding for working capital needs, seasonal cash flow variations, and bridge financing for acquisitions while permanent financing is arranged. The revolver commitment generates a commitment fee (typically 25–50 basis points per annum on the undrawn portion) whether or not the borrower has drawn on it, providing RMH Capital with a recurring fee income stream independent of the borrower's actual borrowing needs.

For investment-grade borrowers, revolvers are priced at SOFR plus 100–175 basis points drawn, with a commitment fee of 20–30 basis points on the undrawn portion. For below-investment-grade borrowers, drawn spreads range from SOFR plus 250–450 basis points, with commitment fees of 37.5–75 basis points, reflecting the higher credit risk and the typically covenant-intensive structure required to protect lender interests. The covenant package for leveraged revolvers typically includes a maximum leverage ratio test (total debt / EBITDA), a minimum interest coverage ratio, and a minimum liquidity test, measured quarterly.

Term Loans

Term loans are fixed-amortization credit facilities with defined repayment schedules and maturity dates, typically used to fund capital expenditures, acquisitions, or dividend recapitalizations. Term Loan A (TLA) is a bank-held facility with amortization of 10–25% per year, held by the relationship banking community and subject to financial maintenance covenants. Term Loan B (TLB) is an institutional facility — marketed to CLO funds, hedge funds, and other institutional investors — with minimal amortization (1% per annum) and incurrence-only covenants, providing more flexibility for the borrower but at a higher spread than TLA. RMH Capital originates term loans for its own balance sheet (primarily investment-grade TLAs) and for distribution to institutional investors (leveraged TLBs), with the distribution business managed by the IBD Leveraged Finance group.

Bridge Loans

Bridge loans are short-term (typically 12–18 months) financing commitments provided by banks to bridge the gap between a corporate announcement (a signed M&A agreement, for example) and the completion of permanent financing (bond issuance, equity offering, or long-term loan). The economic rationale for a bridge commitment is straightforward: it provides the borrower with certainty of financing at announcement, which is critical for competitive M&A processes where bids without committed financing are disfavored. The bank earns a commitment fee on the bridge, plus an accelerating duration fee if the bridge remains outstanding beyond its initial commitment period, which creates strong incentives for the borrower to refinance quickly in the capital markets.

Letters of Credit

Letters of credit (LCs) are contingent obligations of the bank to pay a beneficiary if the bank's client fails to perform a contractual obligation. Standby letters of credit are commonly used in commercial real estate, construction, and trade finance to provide performance guarantees to counterparties without requiring the client to post cash collateral. Documentary letters of credit (used in trade finance) provide payment assurance to exporters that a bank will pay upon presentation of shipping documents that comply with the LC terms. LC fees are typically 50–150 basis points on the face value of the LC per annum, representing high-margin, capital-light income for Corporate Banking since LCs rarely result in actual payment.

4.3 Balance Sheet Management

Corporate Banking manages its loan portfolio against a set of risk parameters approved by the CRO and overseen by the Audit and Risk Committee. The portfolio is diversified across industries (no single sector may exceed 25% of outstanding principal), geographies (domestic borrowers preferred; non-U.S. borrowers require enhanced due diligence), and credit quality (the portfolio's weighted average

internal credit rating must be maintained at or above a BBB- equivalent). The CECL (Current Expected Credit Loss) standard, adopted under ASC 326, requires RMH Capital to recognize lifetime expected credit losses at loan origination rather than deferring loss recognition until the loan becomes impaired — a methodology that creates larger upfront loan loss provisions but aligns the balance sheet more closely with the economic risk of the credit book.

Capital allocation to Corporate Banking follows the Basel III framework, which prescribes risk weights for different asset classes: corporate loans to investment-grade borrowers attract a 100% risk weight for standardized approach banks, while loans to highly-rated corporations with external ratings may attract lower weights under the internal ratings-based (IRB) approach. Basel III's Output Floor — effective under the Endgame rules — establishes that IRB-calculated risk weights cannot fall below 72.5% of the standardized approach weight, limiting the capital relief available from sophisticated internal models and effectively increasing capital requirements for well-diversified, low-default portfolios. RMH Capital monitors its CET1 ratio — the ratio of Common Equity Tier 1 capital to risk-weighted assets — monthly, targeting a buffer of at least 200 basis points above the minimum regulatory requirement.

Product	Typical Size	Tenor	Pricing	Revenue Type
Revolving Credit Facility (IG)	\$50–500M	3–5 years	SOFR +100–175 bps	Commitment fee + drawn NII
Revolving Credit Facility (HY)	\$25–250M	3–5 years	SOFR +250–450 bps	Commitment fee + drawn NII
Term Loan A	\$50–500M	5–7 years	SOFR +125–200 bps	NII + origination fee
Term Loan B (distributed)	\$100M–2B	7 years	SOFR +300–550 bps	Arranger fee 1.5–2.5%
Bridge Loan	\$50M–1B	12–18 months	SOFR +250–450 bps	Commitment fee + duration fee
Letter of Credit	\$1–50M	1–3 years	50–150 bps p.a.	LC fee (contingent)

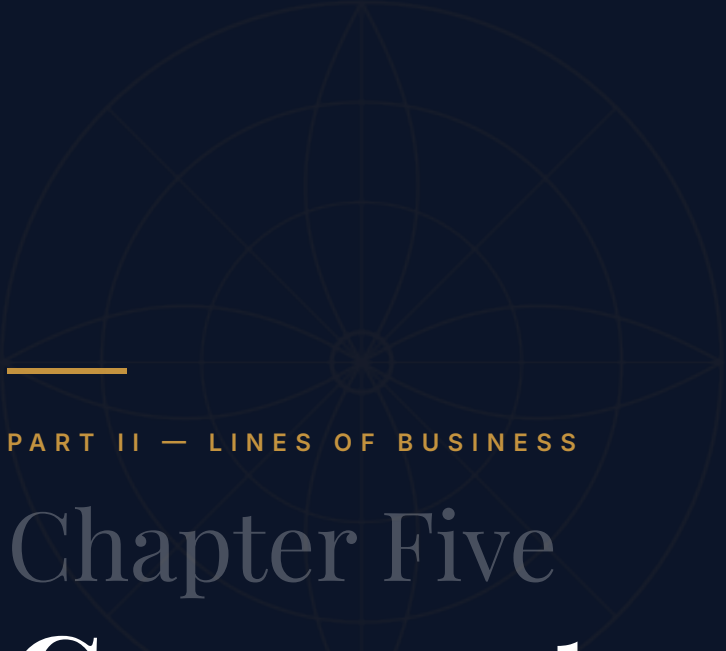
Table 4-1: Corporate Banking Product Matrix. Pricing ranges reflect current market conditions as of Q2 2026 and will vary with credit market cycles.

4.4 Relationship Banking & Cross-Divisional Synergy

Corporate Banking maintains primary coverage responsibility for a defined universe of corporate borrowers, typically those with annual revenues above \$100 million that are not already covered by an IBD industry coverage team. When IBD is engaged on a transaction for which bridge financing is needed, Corporate Banking is the internal provider of that bridge commitment, with the economics shared between the two divisions at a transfer price set by the CFO. This internal capital market mechanism ensures that IBD can offer clients a fully committed financing

package without requiring a separate banking relationship, enhancing the competitiveness of IBD's pitches and deepening the client's reliance on RMH Capital's platform.

The Corporate Banking relationship team conducts formal cross-divisional client reviews quarterly, identifying opportunities to introduce Markets hedging products, IBD advisory capabilities, or RMHCombinator portfolio companies as vendors or strategic partners to the banking client. These structured conversations are supported by the firm's CRM system, which tracks every interaction between the client and any RMH Capital division, enabling the relationship team to identify white-space opportunities and prevent duplicative or conflicting outreach that could undermine the client's confidence in the platform.



PART II — LINES OF BUSINESS

Chapter Five

Corporate Finance

*FP&A, Controllershship, Treasury, Risk & Tax — the internal
financial infrastructure enabling enterprise performance*

5.1 The CFO Organization

The Corporate Finance division encompasses all internal finance functions that support the financial management and reporting of RMH Capital as an enterprise. Unlike the revenue-generating divisions, Corporate Finance operates as a cost center — its value is measured by the quality of financial information it produces, the efficiency of capital allocation it enables, and the regulatory and reporting obligations it fulfills. The division is led by the Chief Financial Officer and organized into four functional pillars: Financial Planning & Analysis (FP&A), Controllershship and Financial Reporting, Treasury and Capital Management, and the Risk and Tax functions.

The CFO reports directly to the CEO and has a dotted-line reporting relationship to the Board's Audit and Risk Committee — the structural independence that ensures financial reporting integrity is maintained independent of management's operational priorities. In a financial services firm, where assets, liabilities, and revenue are subject to complex accounting rules and regulatory capital requirements, the CFO's office provides a critical independent check on how the firm represents its financial condition to regulators, counterparties, and stakeholders.

5.2 Financial Planning & Analysis (FP&A)

FP&A is responsible for translating RMH Capital's strategic ambitions into financial plans, tracking actual performance against those plans, and providing analytical support for capital allocation decisions. The FP&A team produces three core deliverables: the Annual Operating Plan (AOP), submitted to the Board each December; monthly Management Reporting Packages (MRPs) that compare actual

performance to plan across all divisions; and ad hoc analyses supporting strategic decisions such as hiring a senior banker, entering a new product market, or evaluating a strategic acquisition.

The Annual Operating Plan is built through a bottoms-up process that begins in October. Division heads submit revenue forecasts by product, headcount plans with expected compensation costs, and capital expenditure requests. FP&A consolidates these submissions, challenges assumptions against market data and historical performance, and produces a firm-wide financial model that projects revenue, expenses, net income, return on equity, and capital ratios under base, stress, and severe stress scenarios. The Board reviews and approves the AOP in December, with formal variance tracking beginning in January.

Monthly reforecasting ensures that the plan remains a live instrument rather than a static document. When market conditions change materially — for example, if equity capital markets activity is significantly above or below plan — FP&A produces an updated full-year forecast within two weeks of month-end, reflecting revised revenue expectations and updated headcount assumptions. This reforecast feeds directly into treasury's liquidity planning and the CRO's capital adequacy assessment, ensuring that the firm's risk management and financial management functions are aligned with current market reality.

5.3 Controllershship & Financial Reporting

The Controllershship function is responsible for the accuracy, completeness, and timeliness of RMH Capital's financial statements, prepared in accordance with U.S. Generally Accepted Accounting Principles (GAAP). For a broker-dealer, key accounting judgments include the fair value measurement of trading securities (under ASC 820), the recognition of brokerage revenue (under ASC 606), and the credit loss provisioning for the loan portfolio (under ASC 326, the CECL standard). Each of these areas requires significant judgment and is subject to external auditor scrutiny, making the Controllershship function a critical first line of defense for

financial reporting integrity.

As a registered broker-dealer, RMH Capital is subject to SEC Rule 17a-5, which requires the filing of annual audited financial statements (FOCUS Reports — Financial and Operational Combined Uniform Single Reports) within 60 days of the firm's fiscal year-end. These reports disclose the firm's net capital computation under SEC Rule 15c3-1, which mandates that broker-dealers maintain a minimum level of liquid net capital at all times. The Net Capital Rule is designed to ensure that if a broker-dealer were to liquidate immediately, it would have sufficient liquid assets to pay all customer claims in full. Breaches of net capital requirements require immediate notification to FINRA and trigger regulatory remediation procedures.

SOX 404 compliance — the Sarbanes-Oxley Act's requirement for management to annually assess and attest to the effectiveness of internal controls over financial reporting — requires the Controllershship team to maintain a comprehensive controls inventory, perform annual testing of key controls, and remediate deficiencies before the annual attestation date. The external auditor independently tests a selection of key controls and issues its own opinion on the effectiveness of internal control over financial reporting, which is filed with the firm's annual audit report.

5.4 Treasury & Capital Management

Treasury manages RMH Capital's liquidity position, funding strategy, and interest rate risk on the balance sheet. Its primary responsibilities are ensuring that the firm has sufficient liquidity to meet all obligations under both normal and stressed conditions, managing the firm's funding costs by optimizing the mix of short-term and long-term liabilities, and hedging the interest rate exposure created by the Corporate Banking loan portfolio. The Treasury function reports daily liquidity metrics to the CFO and CRO, including the Liquidity Coverage Ratio (LCR — the ratio of high-quality liquid assets to projected net cash outflows over a 30-day stress period), which must remain above 100% at all times under the liquidity

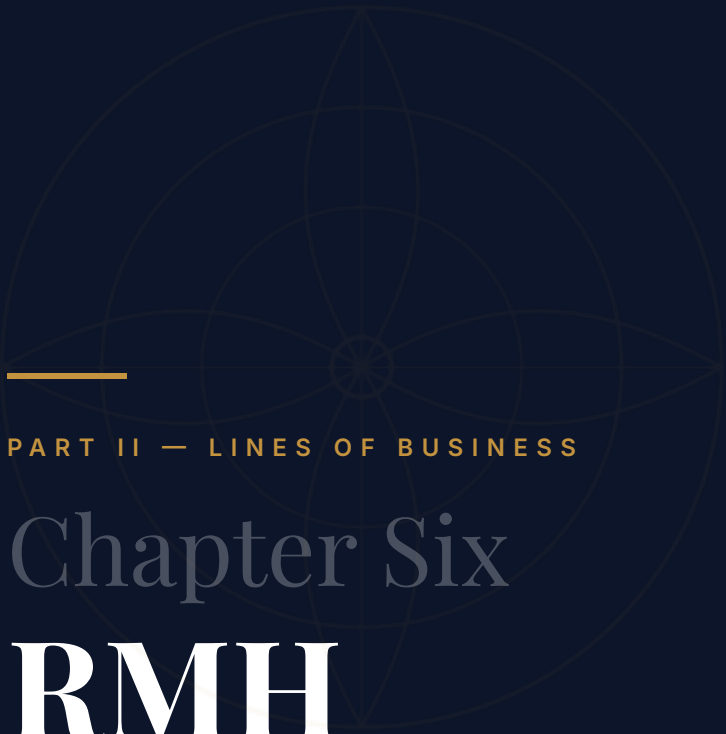
standards derived from Basel III.

Funding strategy at RMH Capital relies primarily on broker-dealer equity capital, committed unsecured credit facilities from relationship banks, and repo financing secured by the trading inventory on the Markets desk. Unlike deposit-funded commercial banks, broker-dealers do not have access to FDIC-insured deposits, making the quality of unsecured credit facilities and the reliability of repo markets critical to funding resilience. Treasury maintains a minimum liquidity reserve — held in U.S. Treasury securities and federal agency obligations — equal to 90 days of estimated fixed expenses, providing a substantial buffer against short-term funding disruptions.

5.5 Tax & Risk Functions

The Tax function manages RMH Capital's federal, state, and local tax obligations, including the structuring of the firm's LLC partnership structure for tax efficiency, the management of transfer pricing for inter-company service charges between RMH Capital's legal entities, and the tax treatment of investment gains and losses within the RMHCombinator fund structure. The partnership pass-through structure of RMH Capital LLC allows income and losses to flow directly to individual partners without entity-level taxation, but the management of multiple legal entities (the broker-dealer, the RIA, the fund GP, and any operating subsidiaries) requires sophisticated tax planning to optimize the overall tax efficiency of the enterprise.

The Risk function within Corporate Finance (distinct from the CRO's enterprise risk management function) focuses on financial risks specific to the corporate balance sheet: credit risk in the loan portfolio, market risk from interest rate and currency exposure, and liquidity risk from funding concentration. The Risk function produces the Internal Capital Adequacy Assessment Process (ICAAP), an annual self-assessment of the firm's capital adequacy relative to the full spectrum of risks it faces — including operational risk, reputational risk, and strategic risk that are not fully captured by regulatory minimum capital calculations.



PART II — LINES OF BUSINESS

Chapter Six

RMH Combinator

Accelerator, venture fund, and studio — the early-stage engine that seeds RMH Capital's future client pipeline

6.1 Strategic Mandate

RMHCombinator is the venture arm of RMH Capital, comprising three interrelated programs: a startup accelerator, a dedicated venture fund, and a venture studio. The strategic mandate is dual: to generate direct financial returns through equity appreciation in early-stage companies, and to seed the relationship pipeline for RMH Capital's investment banking, corporate banking, and markets divisions by establishing deep, trust-based relationships with founders at the earliest stage of company formation. RMHCombinator is designed to answer the question that every investment bank faces in competing for founder-led company mandates: "Why should I work with you on my IPO when I've never worked with you before?" By investing in companies at seed stage, RMHCombinator gives the firm a decades-long head start on building that relationship.

The model is explicitly inspired by Y Combinator, the world's most successful startup accelerator, but adapted for the strategic context of an investment bank. Where YC's core value proposition is founder community and network effects among alumni, RMHCombinator's distinctive offer is capital market access: accelerator participants gain access to the full analytical, capital raising, and corporate banking capabilities of RMH Capital, providing a level of institutional support that no pure-play accelerator can match. This hybrid model — financial support with institutional advisory — represents a structural competitive advantage that is unique to our platform.

6.2 Accelerator Program

The RMHCombinator Accelerator runs two cohorts per year, each comprising 8–12 companies in the earliest stages of development — typically pre-seed or seed

stage, with less than \$2 million raised prior to joining. The standard investment terms for the accelerator mirror the industry benchmark set by Y Combinator: \$125,000 for 7% equity, plus an uncapped SAFE (Simple Agreement for Future Equity) with a Most Favored Nation (MFN) provision for an additional \$375,000. The MFN provision entitles RMHCombinator to convert its SAFE at the same terms as any future investor that receives more favorable SAFE terms, protecting the firm from dilution by subsequent convertible instruments with superior economics.

The 12-week intensive program combines weekly group sessions on business fundamentals (financial modeling, fundraising strategy, product development, and hiring) with one-on-one mentorship from RMH Capital's senior bankers and portfolio company advisors. A distinctive element of the curriculum is the "Institutional Readiness" track — a module that prepares founders for the transition from venture-backed startup to institutional-quality company: understanding cap table management, audit and compliance requirements, corporate governance best practices, and the metrics that institutional investors evaluate when deciding whether to lead a Series A financing.

Week	Theme	Key Topics
1–2	Foundation	Vision articulation, ICP (ideal customer profile), unit economics baseline
3–4	Financial Architecture	Revenue model design, financial modeling, GAAP vs. management metrics
5–6	Growth Strategy	Go-to-market, distribution channels, partnership strategy
7–8	Capital Strategy	Fundraising mechanics, valuation frameworks, SAFE vs. priced round
9–10	Institutional Readiness	Corporate governance, cap table hygiene, audit preparation, compliance
11	Pitch Refinement	Investor narrative, deck review, Q&A preparation
12	Demo Day	Presentation to 150+ investors, press, and strategic partners

Table 6-1: RMHCombinator 12-Week Accelerator Curriculum. The program is adapted each cohort to reflect current market conditions and participant company profiles.

Demo Day is the culminating event of each cohort — a presentation day at which each company presents its business to an invited audience of venture capital investors, angel investors, corporate strategists, and press. RMH Capital's institutional network is the key differentiator for Demo Day: the firm uses its existing relationships with family offices, endowments, and institutional investors to assemble a Demo Day audience that provides accelerator companies with immediate access to capital that pure-play accelerators with smaller networks cannot match. Target Demo Day outcomes are a conversion rate of at least 50% of companies closing a seed or Series A round within 90 days of Demo Day.

6.3 Venture Fund — Structure & Portfolio

RMH Capital Fund I is a Delaware limited partnership structured as a standard venture capital fund under the Investment Advisers Act, with RMH Capital Ventures GP LLC serving as the General Partner and RMH Capital LLC serving as the registered investment adviser. The fund targets \$50 million in total commitments from limited partners including family offices, institutional investors, and strategic partners. The GP commits 1% of the fund (approximately \$500,000) to align interests with LP investors. The fund's economic structure follows the industry-standard 2/20 model: a 2% annual management fee on committed capital during the investment period (declining to 2% of invested capital post-investment period) and a 20% carried interest after a preferred return (hurdle rate) of 8% per annum.

The fund's investment thesis targets four sectors aligned with RMH Capital's coverage expertise: enterprise software and AI infrastructure, fintech and financial services technology, healthcare technology, and industrial technology. The portfolio construction targets 40–50 investments over a 3-year investment period, with initial checks ranging from \$500,000 to \$2 million per company. A reserve pool of 40% of committed capital is set aside for follow-on investments in the top performers — typically the companies that achieve product-market fit and begin to show accelerating revenue growth in the 18–36 months after initial investment.

The Investment Committee (IC) governs all portfolio decisions for Fund I. The IC comprises 5 members: the Managing Director of RMHCombinator (chair), the Head of IBD Technology Coverage, one independent venture investor with LP standing, and two members designated by the Board. Investment decisions require a 3 of 5 majority, with the chair holding tie-breaking authority for time-sensitive decisions. The IC meets bi-weekly during the investment period and reviews all new investment opportunities against the fund thesis, financial terms, and portfolio construction targets before approving a commitment.

\$50M

FUND I TARGET SIZE

25%+

TARGET NET IRR

Top-quartile VC
benchmark

40–50

PORTFOLIO
COMPANIES

Over 3-year investment
period

6.4 Venture Studio

The Venture Studio is a thesis-originated company-building function that creates startups from internal research rather than investing in externally founded companies. Where the accelerator and fund back founders who have already formed a company and validated an initial hypothesis, the Studio begins with a market opportunity identified by RMH Capital's sector analysts and then recruits operators to build a company around that thesis. RMH Capital takes a significantly larger equity stake in Studio companies — typically 20–30% — reflecting the higher level of initial capital and organizational support provided. Studio companies receive initial capital of \$500,000 to \$2 million, shared office space, access to the firm's institutional client network for early customer development, and dedicated support from a Studio Partner (a senior RMH Capital executive) for the first 18 months.

The Studio thesis is focused on financial services and financial technology — areas where RMH Capital's domain expertise provides a genuine advantage in identifying market opportunities and recruiting credible founders. Current Studio initiatives in development include a B2B data infrastructure company for mid-market investment banks, a regulatory compliance automation platform for broker-dealers, and a structured finance analytics tool for CLO managers. All Studio companies operate under a clearly defined ownership and governance agreement that specifies the terms on which additional capital is raised, how the Studio company transitions to independence, and how RMH Capital's equity stake is

protected through anti-dilution provisions.

6.5 Founder Services & Ecosystem

In addition to capital, RMHCombinator provides accelerator and portfolio companies with a suite of services designed to accelerate growth and reduce the operational overhead of building an institutional-quality company from scratch. Legal services include access to preferred rates and template documentation from partner law firms for incorporation, IP protection, employment agreements, and equity compensation plans. Accounting services include QuickBooks setup, payroll administration, and introductions to Big Four accounting firms that offer startup-focused service packages. The firm also negotiates partner credits from major cloud providers — AWS, Google Cloud, and Azure — providing portfolio companies with \$50,000–\$300,000 in infrastructure credits that meaningfully reduce early-stage burn rates.

The RMHCombinator alumni network is a growing asset in its own right. Companies that complete the accelerator program remain part of the network regardless of whether they raise additional capital from RMH Capital, providing a community of reference customers, employee referrals, and commercial partnership opportunities that compounds in value with each successive cohort. The Managing Director of RMHCombinator hosts a quarterly alumni dinner that brings together 50–75 founders to share challenges, make introductions, and maintain the cultural bonds formed during the accelerator program — replicating the social infrastructure that has made YC's alumni network one of the most powerful in technology entrepreneurship.

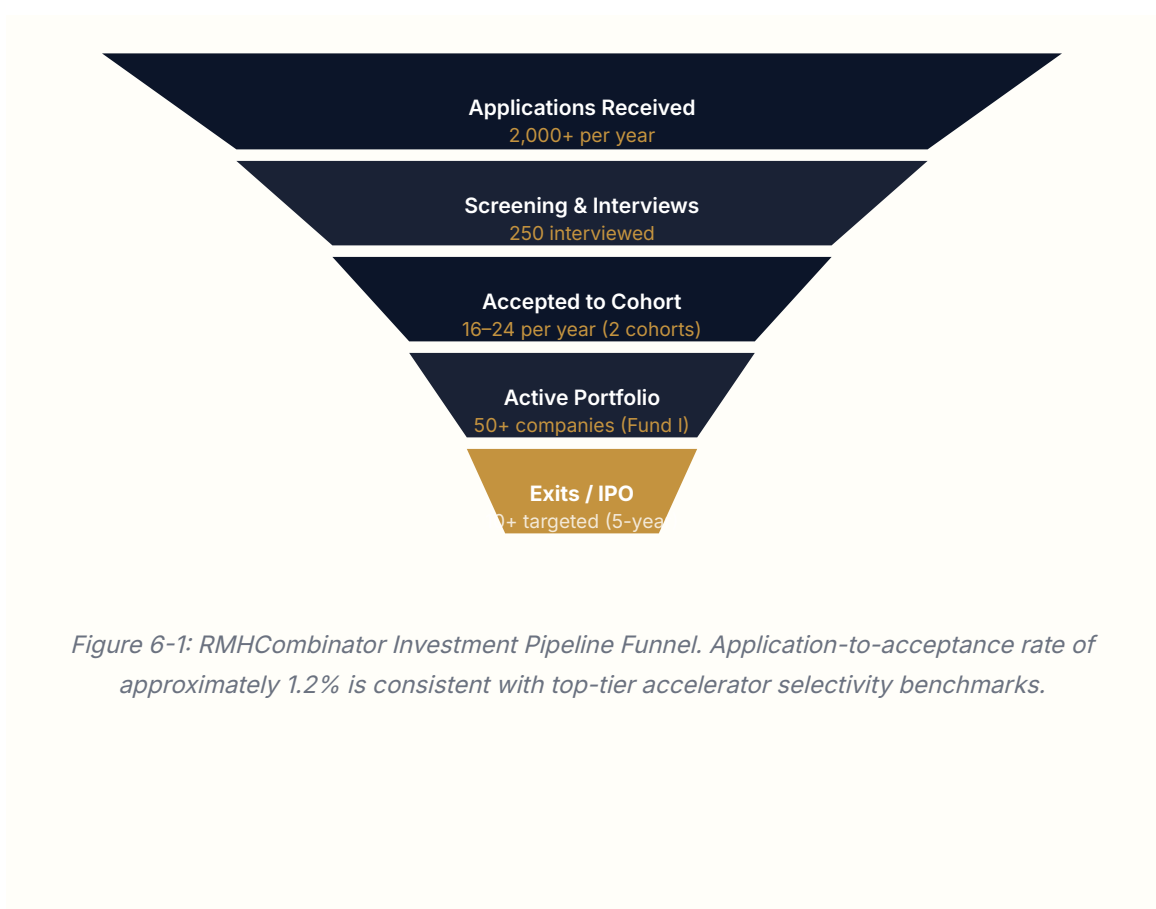
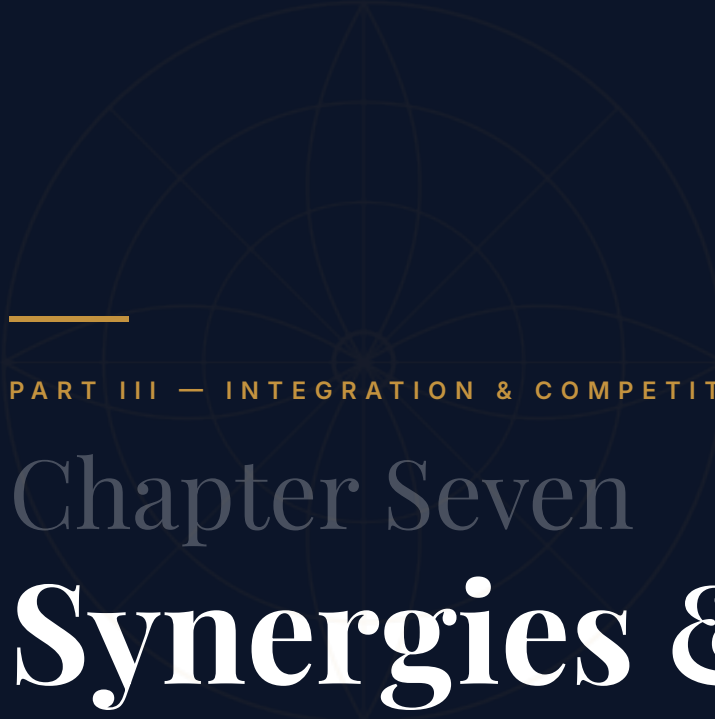


Figure 6-1: RMHCombinator Investment Pipeline Funnel. Application-to-acceptance rate of approximately 1.2% is consistent with top-tier accelerator selectivity benchmarks.



PART III — INTEGRATION & COMPETITIVE EDGE

Chapter Seven

Synergies & Integration

How RMH Capital's five divisions compound value through shared intelligence, cross-referral, and unified client economics

7.1 The Integration Architecture

Synergies between RMH Capital's divisions are not accidental — they are engineered through structural mechanisms that force coordination, reward collaboration, and penalize territorial behavior. Three pillars underpin the integration architecture: a unified CRM platform that gives every division visibility into each client's complete history with the firm; a cross-divisional revenue sharing model that allocates credit proportionally when a referral from one division leads to revenue in another; and a quarterly Integration Review attended by all Division Heads and the CEO, at which cross-divisional pipeline opportunities are identified, prioritized, and assigned to coverage owners.

The CRM platform — built on Salesforce Financial Services Cloud with a custom integration layer that ingests data from the trading system, loan origination system, and RMHCombinator portfolio tracking — provides a 360-degree client view that is accessible to any RMH Capital employee with appropriate clearance. A Markets salesperson can see when a client company is approaching a corporate credit facility maturity (Corporate Banking data), signaling a potential refinancing advisory mandate for IBD. An IBD banker pitching a sell-side mandate can see the client's trading activity with the Markets desk, enabling a more informed conversation about the client's liquidity needs post-transaction.

Revenue credit allocation follows a documented methodology overseen by the CFO. A coverage banker who originates a relationship that subsequently generates revenue in Corporate Banking receives a 15% cross-divisional revenue credit against their personal production for compensation purposes. A Markets salesperson whose relationship results in an IBD engagement receives a 10% credit. These credits do not reduce the division-level P&L of the originating division — they are funded from a firm-wide "collaboration pool" that is budgeted annually as a percentage of total firm revenue, ensuring that cross-divisional collaboration

is economically rewarding for every participant.

7.2 The Client Lifecycle Map

The most concrete expression of RMH Capital's integration thesis is the client lifecycle map: a model of how a single founder-led technology company might engage with each of the firm's five divisions over a 10-year period, from pre-seed to post-IPO. At each stage, the division engaged deepens RMH Capital's understanding of the client's business, management team, and competitive position — reducing the cost and time required to execute future mandates and increasing the probability of winning new business against competitors who are encountering the client for the first time.

Stage	Client Revenue	RMH Division	Service Provided	Estimated Fee
Pre-Seed	<\$1M ARR	RMHCombinator	Accelerator + \$500K SAFE	7% equity
Seed / Series A	\$1–5M ARR	RMHCombinator	Follow-on investment, intro to Series A VCs	\$1–2M check
Series B	\$10–30M ARR	IBD (ECM)	Placement agent for \$50–100M raise	3–5% of raise = \$1.5–5M
Growth	\$30–100M ARR	Corporate Banking	\$25M revolving credit facility	\$100–200K annually
M&A (buy-side)	\$100M+ ARR	IBD (M&A)	Acquisition advisory	\$3–8M success fee
IPO	\$150M+ ARR	IBD (ECM) + Markets	Lead underwriter + secondary market making	\$8–15M underwriting fee
Post-IPO	Public	Markets + IBD	Follow-on, block trades, strategic advisory	\$2–5M annually recurring

Table 7-1: Illustrative Client Lifecycle — Technology Company. Cumulative fees over 10 years: \$15–35M, originating from a \$500K seed investment at a 7% equity stake.

7.3 Information Sharing Within Compliance Constraints

Cross-divisional information sharing creates value but must be carefully managed

to avoid Reg FD, insider trading, and client confidentiality violations. RMH Capital's information sharing framework distinguishes between three categories of information: (1) publicly available information, which can be shared freely; (2) client-specific non-public information that the client has consented to share within the firm for relationship management purposes; and (3) material non-public information (MNPI) about transactions, which is subject to strict information barrier controls and may not be shared between IBD and Markets without a formal wall-crossing procedure. The CRM platform enforces these distinctions through configurable field-level access controls, ensuring that sensitive deal-related information is only visible to personnel with appropriate clearance.

7.4 Technology as Integration Backbone

The firm's technology platform serves as the connective tissue that makes integration operationally real rather than organizationally aspirational. A unified data warehouse aggregates client data from every division's source systems, providing the analytical foundation for the 360-degree client view. Real-time dashboards track cross-divisional activity for each account, alerting coverage owners when activity in one division suggests an opportunity in another. The technology platform investment — approximately \$8 million over the first three years — represents one of the highest-return capital allocations in the firm's plan, because it enables the platform synergies that differentiate RMH Capital from pure-play competitors in each individual division.



PART III — INTEGRATION & COMPETITIVE EDGE

Chapter Eight

Competitive Moat

The five structural advantages that make RMH Capital's platform difficult to replicate and compound over time

8.1 The Five Sources of Competitive Advantage

Competitive advantage in financial services is notoriously fragile: talent is mobile, products are largely replicable, and regulatory change can commoditize entire business lines. Durable competitive advantages in this industry derive from structural factors — network effects, switching costs, proprietary data, and unique distribution channels — that are difficult to replicate even with adequate capital and talent. RMH Capital's competitive architecture is designed around five sources of structural advantage that compound over time and are mutually reinforcing: the founder relationship flywheel, platform integration economics, proprietary deal flow data, technology differentiation, and a founder-centric culture that attracts talent that incumbents cannot retain.

1. The Founder Relationship Flywheel

Every company in the RMHCombinator accelerator is a future investment banking client. As the portfolio grows — targeting 50+ companies after Fund I's investment period — RMH Capital accumulates a pipeline of future advisory mandates that its competitors are structurally unable to access. When a portfolio company reaches the scale at which it needs an M&A advisor or an underwriter, the relationship with RMH Capital has already been established through years of direct investment, weekly mentorship sessions, and shared institutional memory. Win rates for IBD mandates where RMHCombinator has a prior relationship are estimated at 60–70%, versus 25% for competitive pitches to unaffiliated companies. This flywheel is self-reinforcing: each successful exit from the portfolio becomes a reference client that attracts the next generation of founders to the accelerator.

2. Platform Integration Economics

The cross-divisional revenue model creates a cost structure that is inherently lower than the sum of its parts. A client relationship maintained by Corporate Banking generates market intelligence that reduces the cost of IBD origination; IBD transaction flow generates trading revenues for Markets without incremental sales effort; RMHCombinator relationships reduce the IPO origination cost for ECM. These embedded efficiencies mean that RMH Capital can serve its integrated clients at lower effective cost — and therefore higher margin — than five separate single-product firms. The economic benefit scales with the breadth of each client relationship: a client engaged in four divisions generates approximately 3× the margin per dollar of revenue as a client engaged in one division, because the fixed-cost infrastructure (compliance, technology, risk management) is amortized across a larger revenue base.

3. Proprietary Deal Flow Data

Years of combined advisory mandates, trading activity, corporate banking relationships, and venture portfolio data create a proprietary information asset that grows in value over time and is impossible for new entrants to replicate. The firm's sector analysts synthesize transaction data, private market pricing, founder sentiment surveys from RMHCombinator, and corporate banking credit data to produce market intelligence products that provide clients with insights unavailable from any public source. This data moat is particularly powerful in the middle market, where price discovery is less transparent and institutional investor research coverage is thin — the environments where proprietary market intelligence commands the highest premium.

4. Technology Platform Differentiation

RMH Capital's technology investment is disproportionate relative to its current scale but sized appropriately for the firm we intend to become. Our trading infrastructure, built on a modern low-latency execution stack rather than the legacy systems that constrain larger competitors, provides electronic trading performance and analytics capabilities that match bulge-bracket execution quality

at a fraction of the operating cost. Our client-facing digital portal — which provides corporate banking clients, accelerator founders, and institutional investors with real-time visibility into their RMH Capital relationship — sets a standard for client experience that older competitors would require years and hundreds of millions of dollars to match.

5. Founder-Centric Culture

The financial services industry's most persistent competitive advantage — and most persistent failure mode — is talent. RMH Capital is designed to attract and retain a specific type of financial professional: one who is entrepreneurially oriented, values equity participation over guaranteed compensation, and prefers building lasting client relationships over executing high-volume transactional activity. This cultural profile attracts bankers and traders who would otherwise leave established institutions to start their own firms, creating a talent pool that blends institutional rigor with entrepreneurial energy. The firm's equity participation model, extended broadly to senior professionals, aligns long-term incentives and reduces voluntary turnover below industry averages of 15–20% per year at comparable banks.

COMPETITIVE POSITIONING MATRIX

RMH Capital occupies a white space between pure-play boutique investment banks (narrow product, deep sector expertise, no balance sheet) and bulge-bracket universal banks (broad product, institutional scale, but formulaic client service). Our integrated platform serves the middle market with the advisory depth of a boutique and the product breadth of a universal bank, anchored by the venture dimension that neither category has systematically developed. This positioning is not currently occupied by any firm at our target scale.



PART IV — RISK, COMPLIANCE & TECHNOLOGY

Chapter Nine

Regulatory & Compliance

*SEC, FINRA, Basel III Endgame, Volcker Rule, and the
2025–2026 regulatory environment*

9.1 Regulatory Framework Overview

RMH Capital operates within a multi-layered regulatory framework that reflects its status as a registered broker-dealer, a registered investment adviser, and a bank holding company affiliate. The primary federal regulators are the Securities and Exchange Commission (SEC) and the Financial Industry Regulatory Authority (FINRA), which collectively oversee the broker-dealer's capital adequacy, sales practices, trading operations, and customer protection obligations. The RMHCombinator fund's investment adviser activities are regulated separately under the Investment Advisers Act of 1940, with registration requirements determined by assets under management. The Corporate Banking division's lending activities subject it to additional oversight from banking regulators where applicable, including the Federal Reserve Board's supervisory expectations for bank holding company affiliates.

The regulatory landscape for investment banks has undergone substantial transformation since the Dodd-Frank Wall Street Reform and Consumer Protection Act of 2010, which introduced the Volcker Rule, enhanced capital requirements, mandatory derivatives clearing, and new consumer protection standards. The 2025–2026 period introduces another wave of significant regulatory change, centered on the Basel III Endgame capital rules, amendments to the Volcker Rule compliance framework, and evolving SEC guidance on trading and research practices. RMH Capital's compliance program is designed to meet the highest applicable standard in each regulatory domain, providing a buffer against enforcement risk and positioning the firm favorably when regulators evaluate our adherence to the spirit as well as the letter of applicable rules.

9.2 SEC Registration & Key Obligations

RMH Capital is registered with the SEC as a broker-dealer under Section 15(b) of the Securities Exchange Act of 1934. Key obligations include: maintenance of minimum net capital under Rule 15c3-1 (the Net Capital Rule); segregation of customer cash and securities in a special reserve bank account under Rule 15c3-3 (the Customer Protection Rule); annual filing of audited financial statements on Form X-17A-5 (the FOCUS Report); and compliance with the anti-fraud provisions of the Securities Act and Exchange Act, including the prohibition on market manipulation and trading on material non-public information. FINRA, acting as a self-regulatory organization under SEC oversight, enforces these requirements at the member-firm level through annual examinations, surveillance systems, and disciplinary proceedings.

Regulation Best Interest (Reg BI), adopted by the SEC in 2019 and fully effective since June 2020, requires broker-dealers to act in the best interest of retail customers when making a recommendation of a securities transaction or investment strategy. RMH Capital's Reg BI compliance program includes enhanced disclosure to retail customers through the Form CRS (Customer Relationship Summary), written policies and procedures for identifying and disclosing conflicts of interest, and a surveillance system that monitors recommendations for potential violations. While RMH Capital's primary client base is institutional, any retail-facing advisory activity — including placement of securities through the RMHCombinator network to individuals who are not qualified institutional buyers — must comply with Reg BI's full requirements.

Regulation FD (Fair Disclosure), adopted in 2000, prohibits selective disclosure of material information by public companies — and creates compliance obligations for the investment banks advising them. RMH Capital bankers who receive material non-public information from public company clients must ensure that this information is not used to advantage the Markets division's trading activity or shared with the Research division outside of a formal wall-crossing process. Inadvertent Reg FD violations by clients can create legal exposure for advisors who facilitate the disclosure, making the information barrier program a critical compliance safeguard not only for the firm's own trading but for its advisory relationships.

9.3 Basel III Endgame — Capital Rules

The Basel III Endgame framework — the final tranche of post-financial crisis capital reforms developed by the Basel Committee on Banking Supervision and adopted in amended form by U.S. banking regulators — represents the most significant revision to capital requirements since Dodd-Frank. The U.S. banking agencies (OCC, Federal Reserve, and FDIC) released a re-proposal in March 2026 that substantially modified the original July 2023 proposal, reducing the estimated system-wide CET1 capital increase from approximately 19% (as calculated under the original proposal) to approximately 9% after the modifications. The revised proposal is estimated to reduce CET1 requirements for G-SIBs (globally systemically important banks) by approximately 4.8% relative to the original proposal, providing approximately \$87.7 billion in system-wide capital relief.

Key elements of the Basel III Endgame applicable to RMH Capital include: the expanded scope of the standardized credit risk framework, which imposes risk weights on loan portfolios based on borrower characteristics rather than internal ratings; the Fundamental Review of the Trading Book (FRTB), which replaces Value at Risk with Expected Shortfall as the primary market risk metric and introduces a more granular desk-level capital attribution; the mandatory inclusion of Accumulated Other Comprehensive Income (AOCI) in regulatory capital calculations, which creates capital volatility from mark-to-market changes in the available-for-sale securities portfolio; and the Output Floor, which limits the capital relief available from internal risk model sophistication by setting a floor on modeled capital at 72.5% of the standardized approach calculation. The comments period for the re-proposal closed June 18, 2026; final rules are expected to take effect in phases beginning January 2027.

For RMH Capital's planning purposes, the most material Basel III Endgame impacts are the FRTB requirements for the Markets Division and the Output Floor for the Corporate Banking loan portfolio. The transition to Expected Shortfall reporting requires upgrades to the risk management system — currently scheduled for completion in Q3 2026 — and the development of desk-level P&L attribution

models that satisfy the FRTB's Profit and Loss Attribution Test. The Output Floor is expected to increase the capital allocated to the loan portfolio by approximately 8–12%, which has been modeled into the financial projections with a corresponding reduction in the loan portfolio's projected return on equity.

9.4 Volcker Rule — 2025 Amendments

Section 13 of the Bank Holding Company Act, commonly known as the Volcker Rule, prohibits banking entities from engaging in proprietary trading (buying or selling financial instruments for the firm's own account, with the intent of profiting from short-term price changes) while permitting market-making, underwriting, hedging, and certain other activities that serve legitimate risk management or client service purposes. The five federal agencies that jointly administer the Volcker Rule (the OCC, Federal Reserve, FDIC, SEC, and CFTC) adopted significant amendments in 2020 and 2024, and the 2025 amendments further refined the compliance framework, particularly for smaller firms.

The 2025 amendments established a three-tier compliance framework that calibrates obligations to firm size. Tier 1 firms (total trading assets and liabilities above \$20 billion) face the most onerous requirements, including CEO attestation to the effectiveness of the Volcker compliance program, enhanced metrics reporting to regulators, and comprehensive annual reviews. Tier 2 firms (\$1–20 billion in trading assets) face intermediate requirements. Tier 3 firms (below \$1 billion in trading assets) — the category applicable to RMH Capital — qualify for a streamlined compliance program that focuses on substantive controls rather than administrative documentation. This tiered structure is a significant operational relief for RMH Capital, reducing the compliance overhead without diminishing the substantive prohibition on proprietary trading.

The practical implementation of Volcker compliance at RMH Capital is governed by written policies and procedures that define what constitutes permitted market-making activity for each trading desk, set risk limits that are calibrated to market-

making rather than directional speculation, and require daily review of trading activity by the CCO's office for evidence of prohibited proprietary trading. The seven quantitative metrics specified in the Volcker Rule regulations — including inventory turnover, customer-facing trade ratio, and P&L attributable to fees and spreads — are calculated automatically by the trading system and reviewed by Compliance each trading day. Any trading pattern that deviates from the expected market-making profile triggers an automatic escalation to the CCO and CRO for review and documentation of the business justification.

Regulation	Regulator	Key 2025–2026 Change	RMH Impact
Basel III Endgame	OCC / Fed / FDIC	Re-proposal March 2026; FRTB + Output Floor	+8–12% loan capital; FRTB system upgrade req'd
Volcker Rule	5 agencies	3-tier compliance; Tier 3 streamlined	Reduced reporting burden; substantive controls maintained
SEC Reg BI	SEC	Ongoing examination focus	CRS disclosure; conflicts management procedures
FINRA Rule 3110	FINRA	Updated supervision guidance 2025	Enhanced electronic communications review
FINRA Rule 4512	FINRA	Customer account documentation updates	KYC system update Q4 2026
Dodd-Frank Title VII	CFTC / SEC	UMR Phase 7 margining (2026)	Expanded ISDA CSA documentation
SEC Reg AC	SEC	No change; ongoing compliance	Analyst certification on all published research

Table 9-1: Regulatory Change Calendar 2025–2026. Impact assessments reflect management estimates subject to final rule publication and legal review.

9.5 Anti-Money Laundering & Know Your Customer

RMH Capital maintains a comprehensive Anti-Money Laundering (AML) program under the Bank Secrecy Act (BSA) and FinCEN regulations, administered by a designated Bank Secrecy Act Officer within the Compliance department. The program includes Customer Identification Program (CIP) procedures that verify the identity of all customers at account opening, Customer Due Diligence (CDD) procedures that assess the money laundering risk of each customer relationship, and Enhanced Due Diligence (EDD) procedures for high-risk customers including foreign financial institutions, politically exposed persons (PEPs), and customers in high-risk geographies. Suspicious activity is reported to FinCEN through Suspicious Activity Reports (SARs) within 30 days of detection, and currency transactions above \$10,000 in cash are reported through Currency Transaction Reports (CTRs).

OFAC (Office of Foreign Assets Control) screening is performed at onboarding and on an ongoing basis for all customers, counterparties, and beneficial owners. RMH Capital uses a commercial OFAC screening platform that compares customer data against the Specially Designated Nationals (SDN) list, sector sanctions programs, and country programs in real time. Any match triggers an automatic transaction block and immediate escalation to the BSA Officer and General Counsel. The AML program is subject to annual independent testing by an external auditor and regular examination by FINRA's AML examination unit.



PART IV — RISK, COMPLIANCE & TECHNOLOGY

Chapter Ten

Enterprise Risk

Market, credit, operational, and liquidity risk — the Three Lines of Defense and the CRO's governance mandate

10.1 Risk Governance Framework

RMH Capital's enterprise risk management (ERM) framework is built on the Three Lines of Defense model, which assigns distinct risk management responsibilities to the business (first line), risk management and compliance (second line), and internal audit (third line). The first line — division heads, desk managers, and individual bankers and traders — is responsible for identifying and managing risk within defined parameters as an inherent part of conducting business. The second line — the CRO's office and the CCO's office — sets the risk framework, establishes limits, monitors compliance, and provides independent oversight. The third line — the Internal Audit function — independently tests the effectiveness of both first- and second-line controls and reports directly to the Board's Audit and Risk Committee, bypassing management to preserve independence.

The Chief Risk Officer (CRO) reports directly to the CEO with a strong dotted-line relationship to the Board's Audit and Risk Committee. This dual reporting line — to management for operational coordination and to the Board for independence — reflects the CRO's dual mandate: to enable the firm to take intelligent risks in pursuit of financial returns, and to protect the firm from risks that could impair its ability to operate. The CRO chairs the Firm Risk Committee, which meets monthly to review the consolidated risk profile across all risk categories, approve changes to risk limits, and escalate material risk issues to the Board.

10.2 Market Risk

Market risk is the risk of loss from adverse movements in market prices — interest rates, equity prices, foreign exchange rates, credit spreads, and commodity prices — affecting the value of trading positions held by the Markets Division and the

investment securities portfolio. RMH Capital measures market risk at two levels: desk-level VaR, which quantifies the expected daily loss at a 99% confidence level for each individual trading desk, and firm-level stressed Expected Shortfall, which measures the average loss in the worst 1% of market scenarios using historically calibrated stress periods (2008 financial crisis, 2020 COVID-19 market dislocation, 2022 rate spike). Desk-level VaR limits are set annually during the budget process and require CRO approval to modify intra-year; firm-level ES limits are set by the Board and may only be changed with Board approval.

Interest rate risk on the Corporate Banking loan portfolio and the investment securities portfolio is managed through a program of duration matching and derivative hedging. The Treasury desk uses interest rate swaps to convert a portion of the fixed-rate loan portfolio to floating-rate exposure, reducing the sensitivity of net interest income to rising rate environments. Residual rate risk — the portion not hedged with derivatives — is monitored through monthly rate sensitivity analysis that quantifies the change in net interest income for parallel shifts in the yield curve of ± 100 , ± 200 , and ± 300 basis points. The target exposure is a maximum reduction in NII of 3% of total net revenue for a 200-basis-point rate increase.

10.3 Credit Risk

Credit risk encompasses both the risk of borrower default in the Corporate Banking loan portfolio and counterparty credit risk in the Markets Division's trading and derivatives activities. For the loan portfolio, each credit is assigned an internal risk rating (a 10-point scale from 1 — investment grade/minimal risk — to 10 — impaired/in default) at origination and reviewed at least annually. The rating reflects the borrower's financial strength, competitive position, management quality, and the security and covenant package protecting the loan. Loans rated 6 or higher are placed on the Watch List, which triggers enhanced monitoring including monthly financial reporting requirements, covenant compliance testing, and a quarterly review by the Credit Committee.

The Allowance for Credit Losses (ACL) on the loan portfolio is calculated under the CECL methodology, which requires estimating lifetime expected losses at origination rather than waiting for evidence of incurred losses. The CECL model uses a combination of historical loss data, macroeconomic forecasts (GDP growth, unemployment, credit spreads), and loan-specific risk factors to project losses over the life of each loan. The ACL is reviewed quarterly by the Controllershship team with input from the CRO and presented to the Audit and Risk Committee for approval. External auditors independently evaluate the reasonableness of key CECL model assumptions as part of the annual audit.

10.4 Operational Risk

Operational risk — the risk of loss from inadequate or failed internal processes, systems, people, or external events — is the most diverse and difficult-to-quantify risk category in financial services. It encompasses errors in trade execution or settlement, system failures, cyber attacks, fraud, regulatory fines, and natural disasters. RMH Capital manages operational risk through a combination of preventive controls (authorization requirements, segregation of duties, system redundancy), detective controls (transaction monitoring, reconciliation processes, audit trails), and corrective procedures (business continuity plans, incident response protocols, insurance coverage). The CRO maintains a Operational Risk Event database that captures all material operational risk incidents with root cause analysis and corrective action documentation.

Cybersecurity is among the most significant and rapidly evolving operational risks in financial services. RMH Capital's cybersecurity program follows the NIST Cybersecurity Framework and includes continuous monitoring of network traffic for anomalous activity, multi-factor authentication for all system access, annual penetration testing by an independent security firm, and quarterly phishing simulation exercises for all employees. The SEC's cybersecurity disclosure rules (adopted December 2023) require material cybersecurity incidents to be reported on Form 8-K within four business days of determination of materiality — a

requirement that integrates the cybersecurity program with the firm's disclosure controls and the CCO's oversight responsibilities.

10.5 Liquidity Risk

Liquidity risk — the risk that the firm cannot meet its financial obligations as they fall due — is managed by Treasury through a combination of structural liquidity management (maintaining a high-quality liquid asset portfolio), contingency planning (maintaining committed credit facilities that can be drawn in a stress scenario), and liquidity stress testing. The stress test models the firm's liquidity position under three scenarios: a market-wide liquidity stress (repo markets seize, no asset sales possible, credit lines partially drawn by counterparties); an idiosyncratic stress (firm-specific credit concerns reduce access to funding); and a combined scenario. The liquidity buffer maintained at all times must be sufficient to survive the worst of the three scenarios for a minimum of 30 days without access to new external funding.

Risk Category	Primary Metric	Limit	Monitoring Frequency
Market Risk (Trading)	1-Day VaR (99%)	\$2M per desk; \$8M firm-wide	Daily
Market Risk (Stress)	Expected Shortfall	\$25M firm-wide	Weekly
Credit Risk (Loans)	Internal Rating	Max 20% rated 5+; 5% rated 6+	Monthly
Credit Risk (Counterparty)	Credit Exposure Limit	\$50M per counterparty	Daily
Liquidity Risk	Survival Horizon	Minimum 30 days in stress	Weekly
Concentration Risk	Sector Exposure	Max 25% any single sector	Monthly
Operational Risk	Loss Event Threshold	\$250K per event triggers review	Event-driven

Table 10-1: Enterprise Risk Limits Summary. Limits are approved by the Board annually and may only be modified by the CRO with Board notification or, for material changes, Board approval.



PART IV — RISK, COMPLIANCE & TECHNOLOGY

Chapter Eleven

Technology Platform

*Trading infrastructure, data architecture, client digital
experience, and the AI-enhanced analytical layer*

11.1 Technology Strategy

RMH Capital's technology strategy is predicated on a foundational insight: a mid-size investment bank can achieve bulge-bracket capability in specific technology-critical functions by building modern, purpose-designed infrastructure rather than acquiring and maintaining the legacy systems that encumber larger competitors. The incumbents' technological debt — accumulated over decades of acquisitions, regulatory mandates, and incremental build — represents a structural disadvantage that cannot be resolved without a complete platform rebuild that is prohibitively disruptive for firms with billions in daily trading volume and thousands of clients. RMH Capital, building from a clean slate, can architect systems that are faster, more integrated, and more cost-efficient than anything a legacy institution can match in a comparable timeframe.

The technology investment plan allocates approximately \$8 million over three years across four priority areas: trading infrastructure and execution quality (\$3M), data infrastructure and analytics (\$2M), client digital experience (\$1.5M), and compliance and risk systems (\$1.5M). Technology spend is treated as strategic capital investment rather than operational expense where appropriate — specific systems that create durable competitive advantages are capitalized and amortized over their useful lives, ensuring that the P&L impact of technology investment reflects the long-term value of the assets created.

11.2 Trading Technology

The Markets Division's trading infrastructure is built on a low-latency execution stack that routes orders electronically across multiple venues — exchange order books, electronic communication networks (ECNs), and dark pools — to achieve

best execution for institutional clients. The order management system (OMS) is integrated with real-time market data feeds from Bloomberg and Refinitiv, providing traders with sub-millisecond price data and automated pre-trade risk checks that ensure no order exceeds position limits or triggers VaR breach thresholds before it reaches the market. Post-trade processing flows automatically through the OMS to the trade confirmation, settlement, and regulatory reporting systems, reducing operational risk from manual intervention in the trade lifecycle.

For the fixed income markets — where electronic execution is less mature than equities and where significant trade volume still flows through voice-negotiated transactions — RMH Capital deploys a request-for-quote (RFQ) protocol platform that allows institutional clients to request prices from multiple dealers simultaneously and select the best execution. The RFQ system integrates with Bloomberg's TSOX (Trade Order System) and MarketAxess for corporate bonds, providing clients with a familiar interface while routing execution through RMH Capital's trading desk. Transaction Cost Analysis (TCA) reporting — a requirement under MiFID II for European clients — is provided automatically for all executed trades.

The algorithmic trading suite, used primarily for equity execution, includes implementation shortfall, VWAP (Volume Weighted Average Price), and TWAP (Time Weighted Average Price) algorithms that minimize market impact for large institutional orders. These algorithms are proprietary implementations that are continuously refined based on execution performance data, providing a measurable improvement in execution quality relative to simpler benchmark strategies. The algorithms are subject to quarterly back-testing against historical execution data and annual review by the CTO and CRO to ensure they remain within the parameters of permitted market-making activity under the Volcker Rule.

11.3 Data Infrastructure & Analytics

The data architecture is built on a cloud-native data warehouse (Snowflake) that

aggregates structured and unstructured data from every division's source systems: trading data from the OMS, client relationship data from Salesforce, loan portfolio data from the loan origination system, RMHCombinator portfolio data from Carta, and market data from Bloomberg and Refinitiv. The unified data warehouse is the technical foundation for the 360-degree client view that powers cross-divisional integration, enabling any authorized user to query the complete history of a client's interactions with the firm across all touchpoints.

The analytical layer above the data warehouse includes three proprietary tools: a sector intelligence dashboard that aggregates transaction data, private market pricing, and public market comparables for each coverage group; a relationship revenue attribution model that traces revenue earned from each client back to the original source of the relationship; and a predictive pipeline model that uses historical transaction patterns and client financial data to estimate the probability and timing of future mandates. The predictive model, trained on five years of transaction data, is used by coverage bankers to prioritize outreach and by FP&A to build more accurate revenue forecasts.

Artificial intelligence and machine learning applications are being integrated into three specific use cases where the data advantage is clearest: natural language processing for document review in M&A due diligence (identifying key risks in contracts, financial statements, and correspondence); sentiment analysis of earnings call transcripts and investor presentations for the Research division's fundamental analysis workflow; and anomaly detection in trading data for the Compliance function's surveillance of potential Volcker Rule violations and information barrier breaches. These AI applications are deployed as tools that augment human judgment rather than replace it — all AI-generated outputs require review by a qualified professional before being acted upon.

11.4 Client Digital Experience

The RMH Capital client portal is a secure web and mobile application that provides

institutional clients, corporate banking borrowers, and RMHCombinator portfolio companies with real-time access to their relationship with the firm. Corporate banking clients can view loan balances, covenant compliance status, interest rate confirmations, and scheduled payment dates. Institutional trading clients can access trade confirmations, TCA reports, and research publications. RMHCombinator portfolio companies can track their investment terms, cap table, and progress against the milestones agreed with RMH Capital at investment. The portal design prioritizes information density and precision over consumer-facing aesthetics, reflecting the institutional client's preference for data access over engagement optimization.

System	Function	Technology	3-Year Cost
Order Management System	Trade execution & pre-trade risk	Proprietary + Bloomberg TSOX	\$800K
Risk Management Platform	VaR, ES, stress testing	Cloud-native (AWS)	\$600K
Data Warehouse	Unified data / analytics	Snowflake + dbt	\$400K
CRM Platform	Client relationships	Salesforce FSC	\$350K
Loan Origination System	Corp. Banking credit	nCino	\$400K
Compliance Surveillance	Trading + communications	NICE Actimize	\$500K
Client Portal	Digital client access	Proprietary (React / Next.js)	\$350K
AI / ML Layer	NLP, anomaly detection	Azure OpenAI + Python	\$300K
Total Technology Budget			\$3.7M (Yr 1-3 capex + opex)

Table 11-1: Technology Platform Investment Summary. Figures represent estimated three-year total cost of ownership including licensing, implementation, and maintenance.



PART V — EXECUTION

Chapter Twelve

Implementation Roadmap

*36-month execution plan — hiring, technology, regulatory,
and product milestones by quarter*

12.1 Year 1 — Foundation (2026)

Year 1 is the foundation year, focused on assembling the team, completing regulatory infrastructure, and achieving first revenue in all five divisions. The hiring plan prioritizes coverage MDs in IBD's two largest verticals (Technology and Healthcare), senior traders in the Fixed Income and Equities desks, and the Managing Director and program manager for RMHCombinator. Compliance infrastructure — specifically the Volcker Rule compliance program, the AML/KYC system, and the information barrier policy documentation — must be fully implemented before IBD begins actively pitching mandates, since any compliance failure in the first year would be disproportionately damaging to the firm's institutional credibility.

Q1 2026 priorities: FINRA broker-dealer registration examination completion; OMS deployment and trading desk setup; initial corporate banking portfolio seeded with three anchor relationships (minimum \$100M in loan commitments); RMHCombinator accelerator curriculum finalized and first cohort applications opened. Q2 2026 priorities: first IBD mandate wins (targeting 3–4 live engagements); Markets Division trading activity at 50% of target run rate; RMHCombinator Cohort 1 launches (8–10 companies); baseline technology platforms (Salesforce, Snowflake, nCino) operational. Q3 2026: first M&A advisory fees received; RMHCombinator Cohort 1 Demo Day; Fund I first close targeting \$25M in LP commitments. Q4 2026: full-year revenue review against AOP; Year 2 hiring plan finalized; Basel III FRTB system upgrade initiated.

12.2 Year 2 — Scale (2027)

Year 2 is the scaling year, during which the firm grows from 85 to 145 employees

and attempts to demonstrate that the integrated platform generates genuine cross-divisional synergies in addition to standalone divisional performance. The single most important Year 2 milestone is achieving a cross-sell ratio — the percentage of IBD client relationships that have also generated Corporate Banking or Markets revenue — above 40%. This metric demonstrates that the platform integration is generating commercial value, not just organizational complexity. A cross-sell ratio above 40% in Year 2 would place RMH Capital in the top quartile of integrated mid-market financial institutions by most industry benchmarks.

Year 2 technology priorities center on the data analytics layer: deploying the predictive pipeline model, the sector intelligence dashboard, and the AI-assisted due diligence tools. These investments are designed to multiply the productivity of the existing team rather than simply adding headcount, ensuring that revenue growth in Year 2 outpaces cost growth. Markets Division aims to expand institutional client relationships from approximately 60 accounts in Year 1 to 100+ accounts by Year 2 end, with a particular focus on hedge fund accounts that generate high-frequency trading volume in the credit and equity markets.

12.3 Year 3 — Optimization (2028)

Year 3 marks the transition from a growth-stage firm to an institutionally mature platform — a period in which operational efficiency improves, marginal cost per unit of revenue falls, and the firm begins generating free cash flow above the reinvestment required for maintenance and compliance. The \$237 million Year 3 revenue target implies an operating margin — before partner distributions — of approximately 35–40% based on the cost structure established in Year 2.

Achieving this margin requires disciplined management of overhead growth: headcount additions slow from the Year 1-to-2 pace, technology platforms move from implementation to optimization, and compliance infrastructure is maintained rather than rebuilt.

The RMHCombinator fund will be entering its fourth year in Year 3 — a critical

point in a typical fund's lifecycle when the best-performing portfolio companies are beginning to show clear signs of market leadership and the weakest performers have either pivoted or been written down. The Investment Committee's Year 3 priority is identifying the top 10 companies in the Fund I portfolio for concentrated follow-on investment through a dedicated opportunity fund (Fund II first close targeted in Year 3), ensuring that the firm's capital is concentrated in the highest-probability exits while the original fund's diversified portfolio continues to generate deal flow for IBD.

Quarter	Milestone	Division	Success Metric
Q1 2026	FINRA registration complete	Firm-wide	BD operations licensed
Q1 2026	Core technology platforms live	Technology	OMS, CRM, Snowflake operational
Q2 2026	First IBD mandates awarded	IBD	3+ live engagements
Q2 2026	RMHC Cohort 1 launched	RMHCombinator	8–10 companies enrolled
Q3 2026	First M&A fee received	IBD	Transaction closed
Q3 2026	Fund I first close	RMHCombinator	\$25M LP commitments
Q4 2026	Year 1 revenue target met	Firm-wide	\$87M+ net revenue
Q2 2027	Cross-sell ratio above 30%	Firm-wide	Integration flywheel operational
Q4 2027	Fund I fully deployed	RMHCombinator	\$50M invested in 40+ companies
Q2 2028	First portfolio company exit	RMHCombinator	3× return minimum
Q4 2028	Year 3 revenue target met	Firm-wide	\$237M+ net revenue

Table 12-1: 36-Month Implementation Milestones. Milestones are reviewed quarterly by the ELT and reported to the Board at each regular session.



PART V — EXECUTION

Chapter Thirteen

Financial Projections

Three-year revenue model, expense structure, capital requirements, and scenario analysis

13.1 Revenue Model

The three-year financial model projects net revenue growth from \$87 million in Year 1 to \$237 million in Year 3, representing a compound annual growth rate of approximately 65%. This growth rate is driven by a combination of headcount expansion (85 to 220 employees), platform maturation (each division achieving higher revenue per head as client relationships deepen and technology investments pay off), and the emergence of cross-divisional synergies that allow the firm to capture a larger share of existing client spending. The model is built on bottom-up assumptions for each division rather than a simple top-down growth rate, and has been stress-tested against historical mid-market investment banking data to ensure that the assumptions are achievable under realistic market conditions.

IBD revenue growth from \$45M to \$108M over three years is driven by headcount expansion (from 35 to 85 IBD professionals) and improving productivity per banker as the coverage franchise matures. The key assumption underlying this projection is that each additional MD hired achieves a 3× revenue-to-compensation multiple within 24 months — consistent with published industry benchmarks for mid-market M&A boutiques. Markets revenue growth from \$28M to \$65M reflects electronic trading infrastructure scaling, institutional client relationship expansion, and the gradual build of structured products volume as the firm's credit relationships mature. Corporate Banking NII grows from \$18M to \$52M as the loan portfolio expands from an initial \$200M to approximately \$750M in outstanding commitments.

Line Item	Year 1 (2026)	Year 2 (2027)	Year 3 (2028)
Revenue			
Investment Banking	\$45.0M	\$72.0M	\$108.0M
— M&A Advisory	\$22.0M	\$36.0M	\$55.0M
— ECM Underwriting	\$12.0M	\$20.0M	\$30.0M
— DCM / Lev. Finance	\$11.0M	\$16.0M	\$23.0M
Markets Division	\$28.0M	\$44.0M	\$65.0M
— Fixed Income	\$14.0M	\$21.0M	\$30.0M
— Equities	\$9.0M	\$15.0M	\$22.0M
— FX & Structured	\$5.0M	\$8.0M	\$13.0M
Corporate Banking	\$18.0M	\$32.0M	\$52.0M
— Net Interest Income	\$12.0M	\$22.0M	\$38.0M
— Fees & Other	\$6.0M	\$10.0M	\$14.0M
RMHCombinator	\$8.0M	\$15.0M	\$28.0M
— Management Fees	\$1.0M	\$1.0M	\$1.0M
— Realized Carry & Gains	\$7.0M	\$14.0M	\$27.0M
Total Net Revenue	\$87.0M	\$149.0M	\$237.0M
Expenses			
Compensation (incl. bonus)	(\$48.0M)	(\$78.0M)	(\$118.0M)
Technology & Data	(\$6.0M)	(\$7.5M)	(\$8.5M)
Occupancy & Facilities	(\$3.5M)	(\$5.0M)	(\$7.0M)

Line Item	Year 1 (2026)	Year 2 (2027)	Year 3 (2028)
Legal, Compliance & Audit	(\$4.0M)	(\$5.5M)	(\$7.0M)
Other G&A	(\$3.5M)	(\$5.0M)	(\$7.0M)
Total Expenses	(\$65.0M)	(\$101.0M)	(\$147.5M)
Pre-Tax Operating Income	\$22.0M	\$48.0M	\$89.5M
Operating Margin	25.3%	32.2%	37.7%
Compensation Ratio	55.2%	52.3%	49.8%

Table 13-1: Three-Year Consolidated P&L Summary. Figures represent management plan targets. All amounts in USD millions.

13.2 Capital Requirements

RMH Capital's capital structure is designed to maintain minimum net capital well above the regulatory floor while providing sufficient balance sheet capacity for Corporate Banking lending, Markets trading inventory, and the RMHCombinator venture fund investment program. The broker-dealer's minimum net capital requirement under SEC Rule 15c3-1 is the greater of \$250,000 or 2% of aggregate debit items. The firm targets operating with a net capital buffer of 300% above the minimum — a buffer that reflects both regulatory guidance and the practical reality that a broker-dealer approaching minimum net capital faces funding pressure from clearing firms and counterparties who may restrict access to financing.

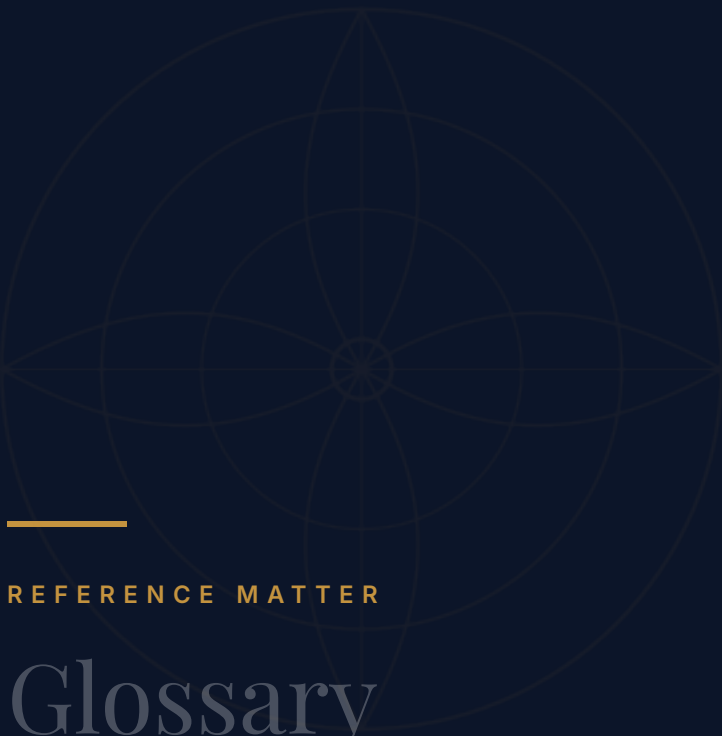
The total capital requirement across all activities is estimated at \$120 million for Year 1: approximately \$60 million in equity capital for the broker-dealer, \$40 million in corporate banking balance sheet capital (supporting approximately \$200 million in loan commitments at a 20% capital ratio), and \$20 million in seed capital for the RMHCombinator fund (representing the GP's 1% commitment plus initial operating

capital). This capital structure is funded by partner equity contributions, with provisions for additional capital raises through the issuance of subordinated debt or preferred equity instruments if growth outpaces equity generation.

13.3 Scenario Analysis

The base case financial plan is stress-tested against two adverse scenarios. The downside scenario assumes a 20% decline in equity markets in Year 2, reducing ECM volumes by 35% and M&A advisory by 20% (historically, M&A is less correlated with market levels than ECM). Under this scenario, Year 2 net revenue falls from \$149M to approximately \$118M, with operating margin contracting to approximately 22%. The firm remains profitable and above minimum capital requirements, but the Year 3 recovery trajectory shifts right by approximately 6 months. The severe downside scenario assumes a 40% equity market decline combined with a credit market dislocation similar to 2008, in which case Year 2 revenue falls to approximately \$80M and the firm operates near breakeven. Under the severe downside, the priority response is a suspension of non-committed hiring and a 25% reduction in discretionary expenses, preserving the capital base until market conditions normalize.

\$22M YEAR 1 OPERATING INCOME 25.3% operating margin	\$48M YEAR 2 OPERATING INCOME 32.2% operating margin	\$89.5M YEAR 3 OPERATING INCOME 37.7% operating margin
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REFERENCE MATTER

Glossary

Key Terms

*Definitions of financial, regulatory, and operational terms
used throughout this document*

A

AOCI (Accumulated Other Comprehensive Income)

A component of equity that captures unrealized gains and losses on certain financial instruments — primarily available-for-sale securities and derivatives used in hedge accounting — that are not recognized in net income until realized. The Basel III Endgame rules require AOCI inclusion in regulatory capital calculations for non-G-SIB banks, increasing capital volatility.

AML (Anti-Money Laundering)

A set of laws, regulations, and procedures designed to prevent criminals from disguising illegally obtained funds as legitimate income. For broker-dealers, AML obligations under the Bank Secrecy Act include Customer Identification Programs (CIP), suspicious activity reporting (SARs), and currency transaction reporting (CTRs).

AOP (Annual Operating Plan)

The firm's annual financial budget, prepared each fall and approved by the Board in December. The AOP sets revenue targets, expense budgets, headcount plans, and capital allocation priorities for the following fiscal year. See Chapter 5.2.

ASC 326 / CECL

Accounting Standards Codification 326, which introduced the Current Expected Credit Loss (CECL) model for recognizing credit losses on financial instruments. Under CECL, banks recognize lifetime expected losses at loan origination rather than waiting for evidence of impairment, resulting in larger upfront loan loss provisions.

AUM (Assets Under Management)

The total market value of financial assets managed by an investment adviser on behalf of clients. For RMHCombinator's fund structure, AUM determines registration obligations under the Investment Advisers Act and management fee calculations.

B

Basel III / Basel III Endgame

A global bank capital framework developed by the Basel Committee on Banking Supervision, adopted post-2008 financial crisis and substantially revised in the "Endgame" final tranche (re-proposed in the U.S. in March 2026). Key elements include higher minimum CET1 capital ratios, the FRTB market risk framework, the Output Floor, AOCI inclusion, and the Liquidity Coverage Ratio. See Chapter 9.3.

Block Trade

A large transaction in a security — typically defined as 10,000+ shares of stock or \$200,000+ in bonds — that is executed as a single transaction rather than broken into smaller pieces. Block trades are typically executed by high-touch sales traders to minimize market impact on large institutional orders.

Bridge Loan

A short-term (12–18 month) financing commitment provided by a bank to bridge the gap between an announced transaction and the completion of permanent financing (bond issuance or long-term loan). Bridge loans are critical for competitive M&A processes where certainty of financing is required at announcement. See Chapter 4.2.

BSA (Bank Secrecy Act)

The primary U.S. anti-money laundering law (31 U.S.C. § 5311 et seq.), which requires financial institutions to maintain records and file reports to assist law enforcement in detecting money laundering and other financial crimes. Administered by FinCEN (Financial Crimes Enforcement Network).

C

Carried Interest (Carry)

The performance fee earned by a private equity or venture capital fund manager, typically

20% of realized profits above the preferred return (hurdle rate). Carried interest aligns the GP's incentives with LP investors by tying the GP's economics to fund performance rather than AUM growth.

CDD / EDD (Customer Due Diligence / Enhanced Due Diligence)

FinCEN-required procedures for assessing the money laundering risk of each customer relationship. CDD applies to all customers; EDD is required for high-risk customers including foreign financial institutions, politically exposed persons, and customers in high-risk geographies.

CET1 (Common Equity Tier 1)

The highest quality component of a bank's regulatory capital, consisting of common shares, retained earnings, and AOCI (under the Basel III Endgame rules). CET1 ratios are the primary measure of a bank's capital strength and resilience to losses. Regulatory minimums vary by firm size and systemic importance.

CIM (Confidential Information Memorandum)

The primary marketing document prepared by the sell-side investment bank in an M&A process, providing prospective buyers with a comprehensive description of the target company's business, financial performance, and competitive positioning. The CIM is distributed only to parties who have executed a Non-Disclosure Agreement (NDA).

CIP (Customer Identification Program)

A Bank Secrecy Act-required program under which broker-dealers must verify the identity of all customers at account opening, obtaining name, date of birth (individuals), address, and government-issued identification. CIP is the first step in the firm's KYC (Know Your Customer) process.

CLO (Collateralized Loan Obligation)

A structured finance security that pools a portfolio of leveraged loans and issues multiple tranches of debt and equity securities with different risk/return profiles. CLOs are the primary funding mechanism for the leveraged loan market, purchasing approximately 65–70% of all new leveraged loan issuance. See Chapter 3.2.

CRM (Customer Relationship Management)

Technology platform that tracks and manages client interactions across all divisions. RMH

Capital uses Salesforce Financial Services Cloud as its CRM, integrated with source systems from each division to provide the 360-degree client view that underpins cross-divisional integration. See Chapter 7.1.

CRO (Chief Risk Officer)

The executive responsible for the firm's enterprise risk management framework, including market risk, credit risk, operational risk, and liquidity risk oversight. The CRO chairs the Firm Risk Committee and reports to the CEO with a dotted-line to the Board's Audit and Risk Committee. See Chapter 1.2.

CSA (Credit Support Annex)

An addendum to an ISDA Master Agreement that governs the posting of collateral to secure mark-to-market exposures on over-the-counter derivative transactions. Under Dodd-Frank and EMIR margin rules, variation margin (daily mark-to-market settlement) is mandatory for most derivative transactions between financial institutions.

D

DCM (Debt Capital Markets)

The investment banking product group responsible for structuring and placing debt securities — bonds, notes, and asset-backed securities — in the public and private capital markets. DCM works with both investment-grade and below-investment-grade (high-yield) issuers. See Chapter 2.3.

Demo Day

The culminating event of a startup accelerator program, at which each cohort company presents its business to an invited audience of investors, press, and strategic partners. For RMHCombinator, Demo Day is designed to leverage the firm's institutional investor network to provide portfolio companies with immediate access to follow-on capital. See Chapter 6.2.

DPI (Distributions to Paid-In Capital)

A venture fund performance metric measuring the total value distributed to LP investors

divided by total capital contributed. DPI is the most concrete measure of fund performance since it reflects actual cash returned to investors, as opposed to unrealized mark-to-market valuations (captured by RVPI).

E–F

EBITDA (Earnings Before Interest, Taxes, Depreciation, and Amortization)

A proxy for operating cash flow widely used in credit analysis and M&A valuation. Leverage ratios (total debt / EBITDA) are the primary sizing metric for leveraged finance transactions, with typical LBO structures targeting 4–6× EBITDA for senior secured debt.

ECM (Equity Capital Markets)

The investment banking product group responsible for structuring and executing equity and equity-linked financing transactions, including IPOs, follow-on offerings, and convertible bond issuances. ECM works closely with the Markets Division's equity trading desk for pricing and aftermarket support. See Chapter 2.3.

EMIR (European Market Infrastructure Regulation)

EU regulation governing OTC derivatives, central clearing, and trade reporting. For U.S. broker-dealers with European counterparties, EMIR imposes mandatory variation margin requirements and central clearing obligations for standardized derivatives contracts.

ES (Expected Shortfall)

A risk measure that calculates the expected (average) loss in the worst scenarios beyond the VaR threshold — capturing the "tail risk" that VaR ignores. The Basel III Fundamental Review of the Trading Book (FRTB) requires ES to replace VaR as the primary market risk metric for trading book capital calculations. See Chapter 9.3.

FINRA (Financial Industry Regulatory Authority)

The self-regulatory organization (SRO) that oversees U.S. broker-dealers, enforcing SEC rules and its own regulations through examination, surveillance, and disciplinary proceedings. All U.S. broker-dealers must be FINRA members. Key rules include Rule 3110 (supervision), Rule 4512 (customer account documentation), Rule 2241 (equity research),

and Rule 2242 (debt research).

FRTB (Fundamental Review of the Trading Book)

A Basel III framework revision that replaces VaR with Expected Shortfall as the primary trading book capital metric, introduces a desk-level model approval process with P&L Attribution Tests, and creates a Sensitivity-Based Approach for standardized capital calculation. FRTB implementation is required under the Basel III Endgame rules. See Chapter 9.3.

G–L

G-SIB (Global Systemically Important Bank)

A bank designated by the Financial Stability Board as posing systemic risk to the global financial system, subject to enhanced capital surcharges, additional liquidity requirements, and more intensive supervisory oversight. U.S. G-SIBs include JPMorgan Chase, Bank of America, Citigroup, Wells Fargo, Goldman Sachs, and Morgan Stanley. RMH Capital is not a G-SIB.

High-Yield Bond

A corporate bond rated below investment grade (below BBB- by S&P or Baa3 by Moody's), also known as a "junk bond." High-yield bonds typically carry fixed coupons of 5–9%, have a call schedule after 3–4 years, and feature incurrence-based covenants rather than the maintenance covenants common in leveraged loans. See Chapter 2.3.

ICAAP (Internal Capital Adequacy Assessment Process)

A bank's own assessment of the capital it needs to hold relative to all risks it faces — including those not fully captured by regulatory minimum calculations. The ICAAP is reviewed by the CRO and CFO annually and supports the Board's capital adequacy determination. See Chapter 5.5.

IPO (Initial Public Offering)

The first sale of a company's shares to public investors through an SEC-registered offering. IPOs require preparation of an S-1 registration statement, FINRA review of

underwriting compensation, and an investor roadshow. RMH Capital acts as lead underwriter or co-manager on IPO transactions, earning 5–7% of gross proceeds. See Chapter 2.3.

ISDA (International Swaps and Derivatives Association)

The trade association that produces standardized documentation for OTC derivative transactions, including the ISDA Master Agreement, Schedule, and Credit Support Annex (CSA). All of RMH Capital's derivatives counterparty relationships are governed by executed ISDA documentation.

LBO (Leveraged Buyout)

The acquisition of a company using a significant proportion of borrowed funds — typically 50–70% of total acquisition consideration — secured by the assets and cash flows of the acquired company. Private equity sponsors execute LBOs to amplify equity returns; RMH Capital provides advisory (IBD) and financing (Leveraged Finance, Corporate Banking) services to both sponsors and targets.

LCR (Liquidity Coverage Ratio)

A Basel III metric requiring banks to hold sufficient high-quality liquid assets (HQLAs) to survive a 30-day market stress scenario. $LCR = HQLA / \text{Net Cash Outflows} \geq 100\%$. RMH Capital targets an LCR well above 100% as a conservative liquidity management practice. See Chapter 5.4.

LOI (Letter of Intent)

A non-binding document outlining the principal terms of a proposed transaction, signed by buyer and seller before entry into the definitive purchase agreement. LOIs typically address price, structure (asset vs. stock purchase), exclusivity, conditions to closing, and timing. See M&A process, Chapter 2.3.

M–R

Market-Making

The activity of continuously quoting bid and ask prices for a financial instrument and

standing ready to buy or sell at those prices, providing liquidity to market participants. Market-making is explicitly permitted under the Volcker Rule and is the primary commercial activity of the Markets Division. See Chapter 3.4.

MFN (Most Favored Nation)

A provision in a SAFE (Simple Agreement for Future Equity) that entitles the SAFE holder to convert at the same terms as any subsequent investor that receives a more favorable SAFE. MFN provisions protect early-stage investors from being diluted by later convertible instruments with superior economics. See Chapter 6.2.

MNPI (Material Non-Public Information)

Information about a publicly traded company that is both material (likely to affect the company's stock price if disclosed) and non-public (not yet disseminated through public disclosure channels). Trading on MNPI is illegal under SEC Rule 10b-5. Information barriers prevent MNPI obtained by IBD from reaching the trading desks of the Markets Division. See Chapter 2.4.

NII (Net Interest Income)

The difference between interest income earned on earning assets (loans, securities) and interest expense paid on funding liabilities (deposits, borrowings). NII is the primary revenue measure for Corporate Banking's lending activities. See Chapter 4.1.

OFAC (Office of Foreign Assets Control)

A U.S. Treasury Department agency that administers economic and trade sanctions programs against foreign countries, terrorist organizations, and narcotics traffickers. Financial institutions must screen all customers and transactions against OFAC's Specially Designated Nationals (SDN) list and block any transactions with sanctioned parties. See Chapter 9.5.

Output Floor

A Basel III mechanism that limits the capital relief available from internal risk model sophistication by establishing that modeled risk-weighted assets cannot fall below 72.5% of the standardized approach calculation. The Output Floor prevents well-diversified, low-default portfolios from receiving excessive capital relief through highly optimized internal models. See Chapter 9.3.

Reg AC (Regulation Analyst Certification)

SEC regulation requiring research analysts to certify that their research reports accurately reflect their personal views and that their compensation is not linked to specific investment banking transactions. Reg AC is a key structural protection for research independence. See Chapter 2.4.

Reg BI (Regulation Best Interest)

SEC rule requiring broker-dealers to act in the best interest of retail customers when making investment recommendations, disclosing conflicts of interest, and maintaining compliance policies. See Chapter 9.2.

Reg FD (Regulation Fair Disclosure)

SEC rule prohibiting public companies from selectively disclosing material information to certain investors or analysts before disclosing it publicly. Creates compliance obligations for investment banks that receive MNPI during advisory engagements. See Chapter 9.2.

RFQ (Request for Quote)

An electronic trading protocol in which an institutional client simultaneously requests bid/ask prices from multiple dealers, selects the best price, and executes a trade — increasing price competition and transparency relative to single-dealer voice negotiation. Common in fixed income markets. See Chapter 11.2.

RVPI (Residual Value to Paid-In Capital)

A venture fund metric measuring the mark-to-market value of remaining (unrealized) portfolio investments divided by capital contributed. $RVPI + DPI = TVPI$ (Total Value to Paid-In Capital), the primary measure of overall fund performance.

S–Z

SAFE (Simple Agreement for Future Equity)

A startup financing instrument created by Y Combinator that converts to equity at a future priced round, without bearing interest or having a fixed maturity date. SAFEs with valuation

caps and/or discounts protect early investors in high-growth companies by ensuring their investment converts at favorable terms. RMHCombinator uses uncapped SAFEs with MFN provisions for accelerator investments. See Chapter 6.2.

SAR (Suspicious Activity Report)

A report filed with FinCEN by financial institutions when they detect activity that may indicate money laundering, fraud, or other financial crime. SARs must be filed within 30 days of detecting suspicious activity. The filing of a SAR is confidential; institutions are prohibited from tipping off the subject of the report.

SOFR (Secured Overnight Financing Rate)

The primary U.S. dollar interest rate benchmark, published by the Federal Reserve Bank of New York, that replaced LIBOR following the LIBOR cessation on June 30, 2023. SOFR is based on overnight repo transactions secured by U.S. Treasury securities. New floating-rate loans and derivatives use SOFR as the reference rate, typically expressed as "Term SOFR" for credit agreements. See Chapter 2.3.

SOX 404 (Sarbanes-Oxley Section 404)

The provision of the Sarbanes-Oxley Act requiring management to annually assess and attest to the effectiveness of internal controls over financial reporting (ICFR), with independent auditor attestation for accelerated filers. SOX 404 compliance requires maintaining a comprehensive inventory of key controls, annual testing, and timely remediation of identified deficiencies. See Chapter 5.3.

TCA (Transaction Cost Analysis)

Analysis of the execution quality of securities transactions, comparing achieved execution prices to benchmarks (VWAP, arrival price, closing price) to measure market impact and identify execution inefficiencies. TCA is required under MiFID II for European clients and is provided by RMH Capital's electronic trading platform for all institutional equity executions.

TLB (Term Loan B)

An institutional term loan with minimal scheduled amortization (typically 1% per year), long maturity (6–7 years), and incurrence-based covenants, sold to institutional investors (CLOs, hedge funds, mutual funds) rather than banks. TLBs carry higher spreads than bank-held Term Loan A facilities, reflecting the higher leverage and covenant flexibility demanded by institutional investors. See Chapter 4.2.

TVPI (Total Value to Paid-In Capital)

The primary venture fund performance metric, equal to $(DPI + RVPI) / \text{total capital contributed}$. TVPI of 3.0× means a fund has returned or is expected to return three times the capital invested. Top-quartile venture funds typically achieve TVPI of 3–5× over a 10-year fund life.

VaR (Value at Risk)

A statistical risk measure expressing the maximum expected loss over a specified holding period at a given confidence level (e.g., 1-Day VaR at 99% confidence = the loss that will not be exceeded on 99 out of 100 trading days). VaR is the standard trading book risk metric, though it is being supplemented by Expected Shortfall under the Basel III FRTB framework. See Chapter 10.2.

VDR (Virtual Data Room)

A secure online repository used in M&A due diligence processes to share confidential documents with prospective buyers. Modern VDRs provide detailed analytics on document access, enabling sellers to track buyer engagement and gauge acquisition interest levels during the due diligence phase.

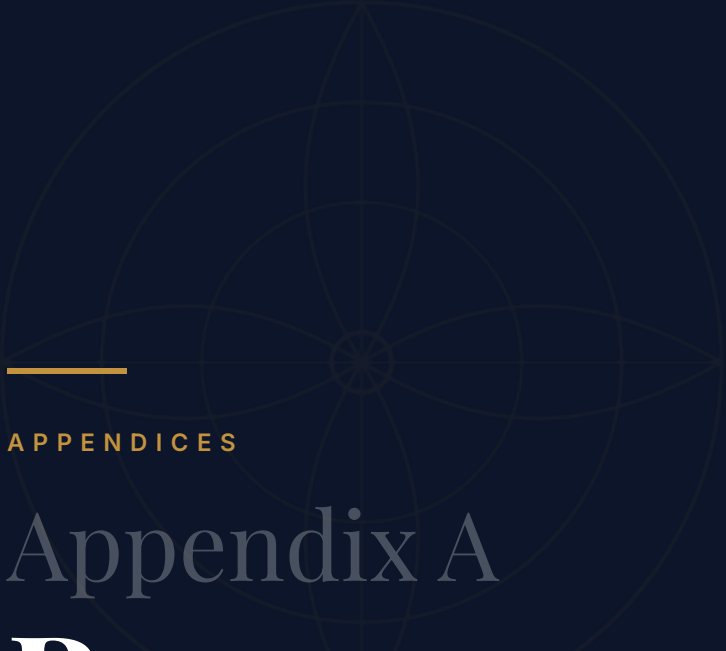
Volcker Rule

Section 13 of the Bank Holding Company Act (implemented in 12 CFR Part 248), prohibiting banking entities from engaging in proprietary trading while permitting market-making, underwriting, hedging, and certain fund activities. The 2025 amendments established a three-tier compliance framework. See Chapter 9.4.

VWAP (Volume Weighted Average Price)

An algorithmic execution strategy that breaks a large order into smaller pieces and executes them proportionally to traded volume throughout the trading day, targeting the volume-weighted average price as the execution benchmark. VWAP is commonly used for

institutional equity orders where minimizing market impact is more important than speed of execution.



APPENDICES

Appendix A

Revenue Model Detail

*Division-level revenue assumptions, driver trees, and
sensitivity analysis*

A.1 IBD Revenue Build

The Investment Banking Division revenue model is built on a deal-by-deal pipeline model rather than a simple revenue-per-head assumption. The pipeline is segmented by transaction type (M&A sell-side, M&A buy-side, IPO, follow-on, debt) and by estimated transaction value, with each deal assigned a probability of close (20–80% based on stage of engagement), an estimated timeline to close, and an estimated fee based on the applicable fee scale. The weighted average of all pipeline deals — summing probability-weighted fee × close probability × timeline discount — produces the revenue forecast. The model is updated monthly by the IBD Head and reviewed by FP&A for reasonableness against industry transaction volume data.

Revenue Driver	Year 1 Assumption	Year 2 Assumption	Sensitivity
M&A Deal Count	12–18 transactions	20–28 transactions	±\$4M per 2 deals
Avg. M&A Transaction Value	\$350M	\$450M	±\$2M per \$50M avg
Avg. M&A Fee Rate	1.8% blended	1.8% blended	±\$1M per 10 bps
IPO/FO Volume	\$400M total proceeds	\$650M total proceeds	±\$1.5M per \$100M
ECM Fee Rate	4.5% blended	4.5% blended	±\$600K per 50 bps
Leveraged Finance Arranged	\$1.5B total notional	\$2.5B total notional	±\$1.5M per \$500M

A.2 Markets Division Revenue Build

Markets Division revenue is modeled as the product of average daily revenue (ADR) per asset class desk and the number of trading days per year (approximately 252). ADR targets are established based on expected client flow volume, average bid-ask spread, and market volatility assumptions. The model applies a historical volatility adjustment factor — in low-volatility environments, ADR falls approximately 15–20% below base case; in high-volatility environments, ADR increases 20–30%. Markets revenue is therefore naturally diversified against IBD revenue, which tends to pause in high-volatility markets while M&A activity slows and equity markets are disrupted.

Desk	Year 1 ADR Target	Year 1 Revenue	Year 2 Revenue
Fixed Income — Rates	\$22K/day	\$5.5M	\$8.5M
Fixed Income — Credit	\$33K/day	\$8.5M	\$12.5M
Equities — High Touch	\$20K/day	\$5.0M	\$8.0M
Equities — Electronic	\$16K/day	\$4.0M	\$7.0M
FX	\$12K/day	\$3.0M	\$4.5M
Structured Products	\$8K/day	\$2.0M	\$3.5M
Total Markets	\$111K/day	\$28.0M	\$44.0M

A.3 RMHCombinator Returns Model

The RMHCombinator financial projections reflect a conservative base case assumption that Fund I generates a 2.5× gross TVPI over a 10-year fund life, with

the first material exits (3× or better returns) occurring in Years 4–7 of the fund's life. In Year 1, revenue reflects primarily management fees (\$1M) plus modest gains from early markups in the portfolio. By Year 3, the model includes \$27M in realized and unrealized gains, consistent with 2–3 portfolio companies achieving Series B or later valuations that produce significant paper gains and, in at least one case, a realized exit through acquisition. The IRR sensitivity table below illustrates the impact of exit timing and multiple on total returns to Fund I LPs.

Exit Scenario	Avg. Multiple	Gross IRR	Net IRR (after 20% carry)	LP Return (\$50M fund)
Bear Case	1.5× TVPI	8%	6%	\$75M
Base Case	2.5× TVPI	22%	18%	\$125M
Bull Case	4.0× TVPI	35%	28%	\$200M
Exceptional	7.0× TVPI	55%	44%	\$350M

Table A-3: RMHCombinator Fund I Return Scenarios. Based on a \$50M fund with 2% management fee and 20% carried interest above 8% preferred return. Net IRR figures are illustrative.

Appendix B — Regulatory Compliance Checklist

The following checklist summarizes the primary regulatory obligations of RMH Capital by regulatory body and compliance function. This checklist is maintained by the CCO and reviewed quarterly by the Regulatory and Compliance Committee of the Board. Items marked as "In Progress" reflect obligations tied to the 2026–2027 regulatory change calendar that are being implemented.

Regulator	Obligation	Frequency	Status
SEC	Form X-17A-5 (FOCUS Report) — annual audited	Annual	✓ Compliant
SEC	Net Capital Rule 15c3-1 — daily calculation	Daily	✓ Compliant
SEC	Customer Protection Rule 15c3-3	Weekly computation	✓ Compliant
SEC	Reg BI — Form CRS, conflict disclosure	Ongoing	✓ Compliant
SEC	Reg FD — disclosure controls	Ongoing	✓ Compliant
SEC	Reg AC — analyst certifications	Per report	✓ Compliant
SEC	Cybersecurity Rule — incident disclosure	Event-driven	✓ Compliant
FINRA	Rule 3110 — Supervision program	Ongoing	✓ Compliant
FINRA	Rule 4512 — Customer account documentation	At onboarding	* In Progress (KYC upgrade Q4 2026)
FINRA	Rule 2241/2242 — Research standards	Per publication	✓ Compliant
5 Agencies	Volcker Rule — Tier 3 compliance program	Ongoing	✓ Compliant
OCC/Fed/ FDIC	Basel III Endgame — FRTB implementation	Effective Jan 2027	* In Progress (Q3 2026 target)
OCC/Fed/ FDIC	Basel III — Output Floor compliance	Effective Jan 2027	* In Progress

Regulator	Obligation	Frequency	Status
FinCEN	AML Program — BSA compliance	Ongoing	✓ Compliant
OFAC	Sanctions screening — SDN list	Daily	✓ Compliant
CFTC	Dodd-Frank Title VII — derivatives reporting	Per trade	✓ Compliant
IRS	Partnership tax returns — Form 1065	Annual	✓ Compliant

Table B-1: Regulatory Compliance Checklist. ✓ = fully compliant as of June 2026. * = implementation in progress per scheduled deadline.

Appendix C — Technology Stack Summary

The following table summarizes the technology systems deployed across RMH Capital's divisions, including the vendor, primary function, and integration status. All systems are integrated through a central API layer that routes data to the Snowflake data warehouse, enabling the unified data model that supports the 360-degree client view. System selection prioritized cloud-native architecture, vendor financial stability, and integration capability — ensuring that the platform can scale with firm growth without requiring disruptive system replacements.

System	Vendor	Division	Function	Status
Order Management System	Proprietary + Bloomberg TSOX	Markets	Trade execution, pre-trade risk	Live Q1 2026
Risk Engine	Custom (Python/ AWS)	Risk / Markets	VaR, ES, stress testing, limits	Live Q1 2026
CRM Platform	Salesforce FSC	All	Client relationships, 360 view	Live Q1 2026
Data Warehouse	Snowflake	All	Unified data, analytics	Live Q2 2026
Loan Origination System	nCino	Corp. Banking	Loan origination, CECL	Live Q1 2026
Portfolio Analytics	Carta	RMHCombinator	Cap table, portfolio tracking	Live Q1 2026

System	Vendor	Division	Function	Status
Compliance Surveillance	NICE Actimize	Compliance	Trading surveillance, communications review	Live Q2 2026
AML Platform	NICE Actimize AML	Compliance	Transaction monitoring, SAR filing	Live Q1 2026
OFAC Screening	Accuity / Firco	Compliance	Sanctions screening, real-time	Live Q1 2026
Client Portal	Proprietary (Next.js)	All	Client digital access, reporting	Live Q3 2026
Financial Reporting	Workiva	Corp. Finance	SEC filing prep, SOX controls	Live Q1 2026
Data Analytics	Tableau + Python	FP&A / Research	BI dashboards, pipeline model	Live Q2 2026
AI / NLP Layer	Azure OpenAI (GPT-4)	IBD / Research	Document review, sentiment analysis	Live Q3 2026
Collaboration	Microsoft 365	All	Email, Teams, SharePoint	Live Day 1
Market Data	Bloomberg Terminal + API	Markets / Research	Real-time & historical market data	Live Day 1

Table C-1: Technology Stack Master List. All production systems subject to annual vendor review and quarterly security assessment.

Appendix D — Executive Leadership Profiles

The following profiles summarize the experience and credentials of RMH Capital's Executive Leadership Team. All executives hold or are in the process of obtaining the FINRA licenses required for their respective roles, as specified in each profile. Detailed biographical information, academic credentials, and employment history are available upon request from the Office of the General Counsel.

Chief Executive Officer

The CEO is responsible for the overall strategic direction, financial performance, and institutional reputation of RMH Capital. The CEO chairs the Board of Directors in an executive capacity, leads the Executive Leadership Team, and serves as the firm's primary external spokesperson with clients, investors, and regulators. Required FINRA licenses: Series 7, Series 24 (General Securities Principal), Series 63. The CEO's compensation is structured with 60% base salary and 40% performance bonus tied to firm-wide financial targets and qualitative metrics evaluated by the Compensation Committee.

Chief Financial Officer

The CFO oversees the Corporate Finance division, including FP&A, Controllershship, Treasury, and the Risk and Tax functions. The CFO is jointly responsible with the CEO for the accuracy of all financial disclosures filed with the SEC and FINRA, and co-signs the annual CEO/CFO certification under SOX Section 302. The CFO chairs the Balance Sheet Committee, which reviews funding costs, liquidity position, and capital allocation monthly. Required FINRA licenses: Series 27 (Financial and Operations Principal), Series 63.

Chief Risk Officer

The CRO is responsible for the firm's enterprise risk management framework and chairs the Firm Risk Committee. The CRO has authority to override any division-level decision that exceeds approved risk parameters, including the authority to reduce trading positions, tighten credit approval standards, or suspend onboarding of new relationships that present unacceptable risk. The CRO reports both to the CEO and, with independence, to the Board's Audit and Risk Committee. Required FINRA licenses: Series 7, Series 24.

Chief Compliance Officer

The CCO is the firm's designated compliance officer for all regulatory purposes, including FINRA Rule 3130 (CEO annual certification of compliance with the firm's supervision procedures), the BSA Officer designation, and the Volcker Rule compliance program oversight. The CCO has independent authority to escalate compliance concerns to the Board's Regulatory and Compliance Committee without management approval. Required FINRA licenses: Series 7, Series 24, Series 14 (Compliance Officer, if required by state registration).

Chief Technology Officer

The CTO is responsible for the design, implementation, and security of all technology systems, including trading infrastructure, data architecture, client-facing platforms, and cybersecurity. The CTO chairs the Technology Steering Committee, which reviews all material technology investments above \$250K and reports quarterly to the ELT on system performance, security posture, and development roadmap progress. The CTO also has responsibility for the AI governance framework, ensuring that AI applications deployed within the firm meet standards for accuracy, auditability, and regulatory compliance.

General Counsel

The General Counsel is responsible for all legal matters affecting RMH Capital, including transaction documentation, regulatory correspondence, litigation

management, employment law, and intellectual property. The General Counsel serves as Secretary to the Board of Directors, maintains the corporate records, and advises on all Board governance matters. The GC also oversees the information barrier program in consultation with the CCO, ensuring that legal and compliance requirements for MNPI handling are both substantively met and documented with appropriate rigor.

RMH Capital

OPERATING ATLAS 2026



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